

NASDAQ: CHDN

Recommendation: LONG

Analysts: Oliver Liang, Colin Albrecht

April 9, 2026

CHURCHILL DOWNS
INCORPORATED

Clear Track to Share Appreciation

Company Snapshot

Churchill Downs Inc. (NASDAQ: CHDN) is a gaming and entertainment company that owns the Kentucky Derby - a 152-year-old cultural monopoly and the longest continuously held sporting event in American history - and operates the largest portfolio of Historical Racing Machine venues in the U.S.

Stock Data

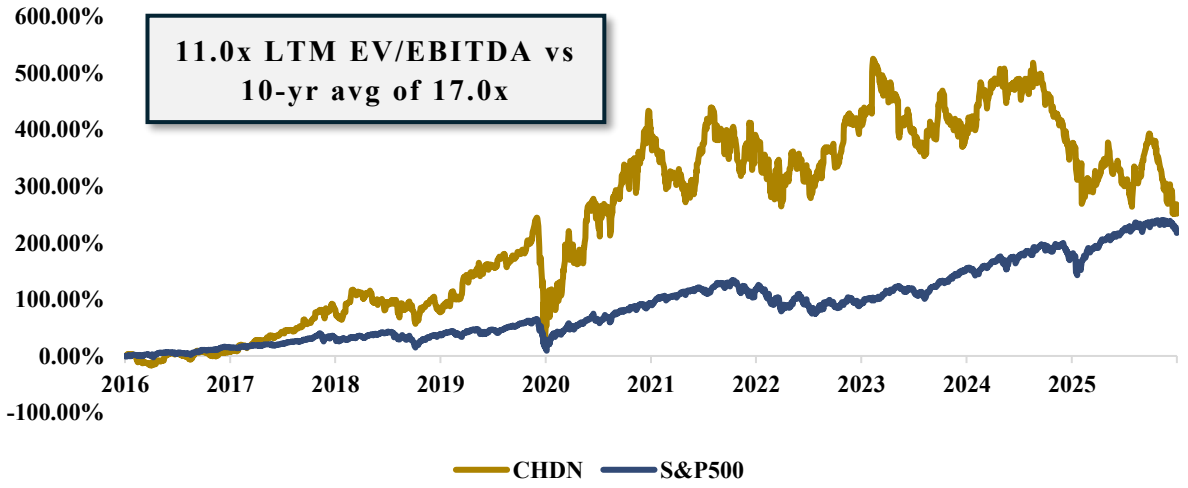
Price Target:	**$165.00**
Implied Upside:	**86.0%**
Market Cap:	**$6.1b**
Stock Price (4/8/26):	**$88.48**
NTM EV/EBITDA:	**9.0x**
Beta:	**0.68**

$MM	2022A	2023A	2024A	2025A
Revenue	***1,810***	***2,462***	***2,734***	***2,926***
% Growth	13%	36%	11%	7%
Adj. EBITDA	***764***	***1,024***	***1,159***	***1,205***
% Margin	*42%*	*42%*	*42%*	*41%*
Free Cash Flow	***460***	***524***	***688***	***700***
% Yield	*7%*	*8%*	*11%*	*12%*

Thesis Overview

- The Kentucky Derby is a one-of-a-kind permanently supply constrained asset with **significant pricing power and a long runway for growth,** mispriced by the market due to a softer Derby 151 in 2025
- The market **underestimates Churchill Downs' levers of earnings** power from HRMs and ETGs, while **overweighing transitory headwinds** like a credit downgrade and a softer 2025 Kentucky Derby, creating a fundamental undervaluation of shares
- Churchill Downs' management team is **exceptional and trustworthy allocators of capital,** well positioned to navigate transitory headwinds

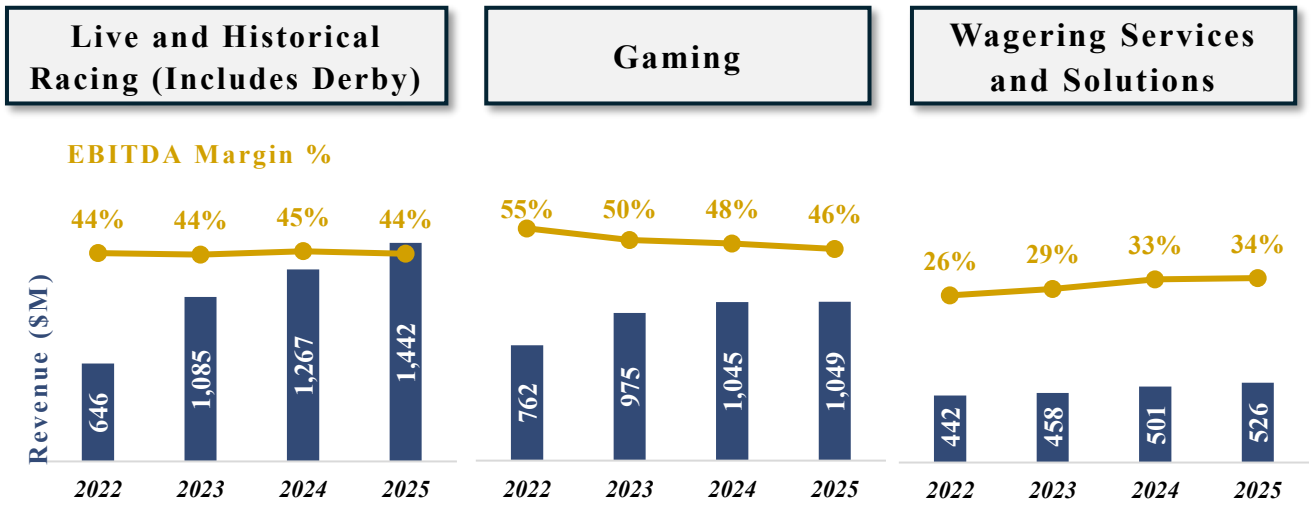
CHDN vs. S&P 500 10-yr Performance



Churchill Downs Owns a Diverse Portfolio of Industry Leading Assets

Business Segment Breakdown

- **Kentucky Derby:** Revenue is generated from ticketing (58%), wagering (24%), broadcasting (6%), sponsorships (10%), and concessions (2%). Derby week alone accounts for ~13% of total EBITDA
- **Live and Historical Racing:** Revenue from racetracks and Historical Racing Machines (HRMs) - slot machines that allow players to wager on previously run horse races. CHDN operates over 10,000+ HRMs across KY and VA
- **Regional Gaming:** Ten wholly owned traditional gaming properties, and underlying real estate across nine states, plus two equity investments in best-in-class properties. CHDN owns virtually all of its own real estate
- **Wagering Services and Solutions:** Consists of TwinSpires, an online B2C and B2B horse racing wagering platform, and Exacta Systems (acquired in 2023) which provides the HRM technology CHDN and third-parties rely on

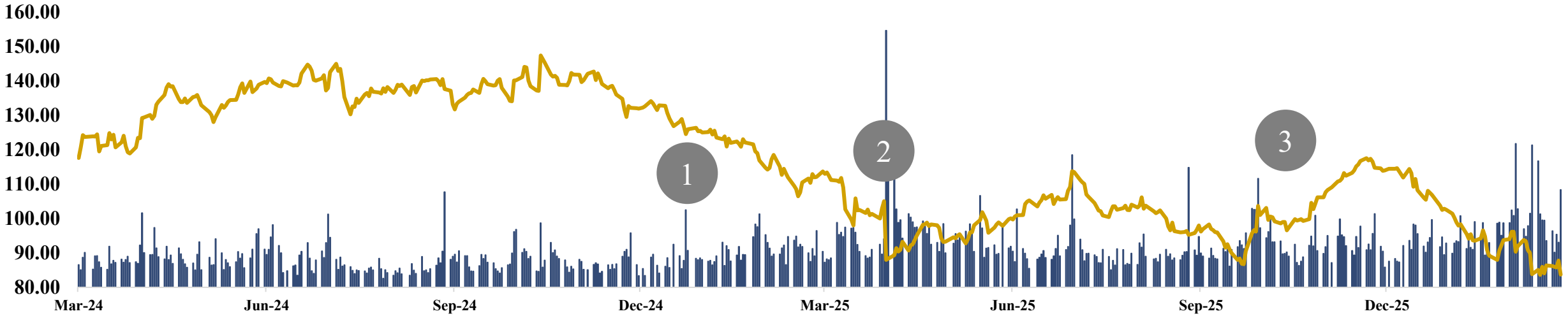




Churchill Downs seeks to own high-return, competitively advantaged assets (such as scarce gaming licenses in states with limited competition), expand within those markets at low cost, and generate cash flow used to buy back shares and acquire the next platform. Management is disciplined and opportunistic, employing a long-term portfolio management style

Acquire the moat → **Compound within it** → **Return excess to shareholders**

Nuances Are Misunderstood, and Near-Term Overhangs Will Clear Up



	What The Market Is Pricing	Our Variant View
1	Softer early data at The Rose (CHDN's largest venue build at ~400m) drove fears of HRM engine slowing	The Rose grew sequentially every quarter of 2025 and is tracking toward $400+ W/U/D at maturity. 2025 was KY HRMs strongest year. ETGs, and New Hampshire HRMs provide additional unpriced levers for growth
2	Stock down 15% on softer Derby 151 demand as the market grows wary of Derby growth runway	Derby 151 set record wagering handle and viewership despite inclement weather. The Derby is a steady-growing asset with durable pricing power backed by demographic tailwinds, Derby 152 is tracking strongly
3	S&P downgraded to BB-; VA iGaming bill threatened HRM cannibalization and prediction markets proliferate	iGaming bill failed to pass, yet shares didn't react. Prediction markets are not the threat the market thinks, as horse racing is protected federally under the IHA and regional gaming will see less or little cannibalization

Following the BB- downgrade, quality long-only funds trimmed (Fidelity -13.7%, Jennison -15.4%, London Co -8.1%) while unconstrained multi-strat hedge funds were buyers, a pattern consistent with mandate-driven selling rather than fundamental reassessment. As reported leverage compresses below 4x in 2026, the path opens for an S&P outlook revision, restoring access to capital that exited on rating mechanics

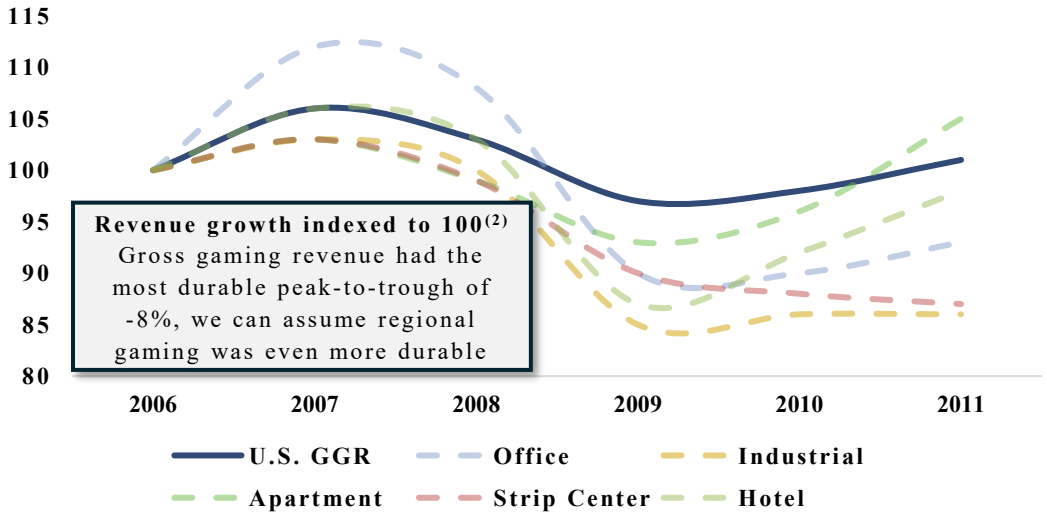
Industry Tilting in Churchill's Favor

Regional Gaming Sector Overview

- Consists of regional markets with varying competition and maturity. **Location and licenses creates local advantages**
- **Capital intensive**, with players taking on significant debt to invest and reinvest in physical assets
- HRMs are the fastest growing category as states need to bolster horse race purses amidst a contracting and consolidating horse industry. Currently authorized in 8 states and growing

*"Regional casinos and HRMs are super stable as long as distributed gaming doesn't open up or additional licenses handed out - these assets tend to attract a more local and loyal clientele, resulting in revenue experiencing **relatively low volatility** over full economic cycles."*

- Former Gaming REIT executive (MGM Growth Properties)[1]

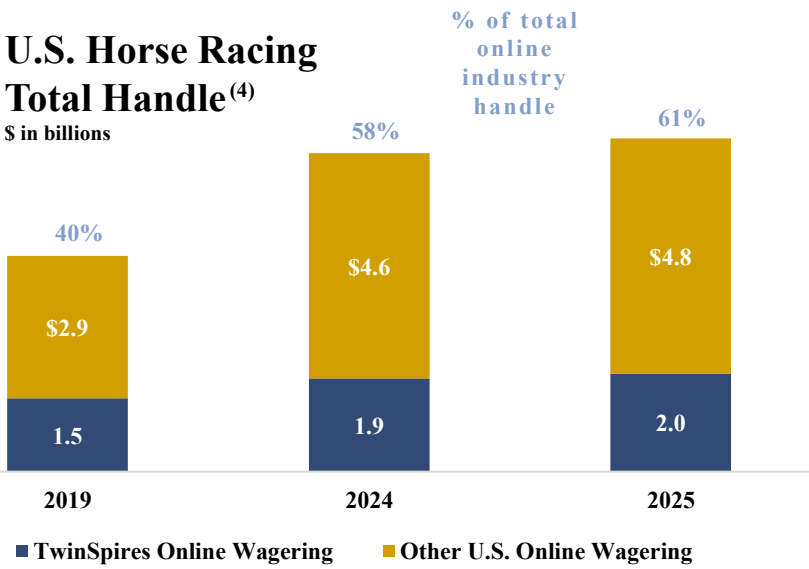


Advance Deposit Wagering (ADW) / TwinSpires

- TwinSpires is a capital light toll booth, with the most market share and data
- Oligopoly where racetracks control who can distribute its product and the terms
- Competitors (DKNG, FanDuel) are also customers of its white-label technology

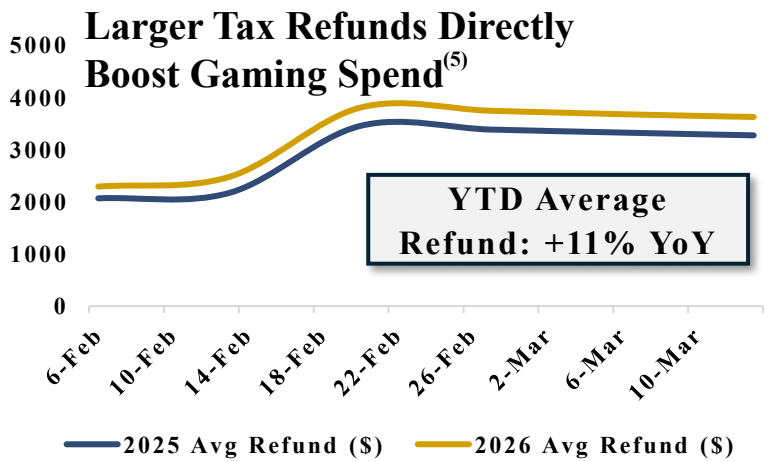
*"We have the **most signals of anyone**. Typically, if we don't have a signal at this point, it's because of a racing commission that most likely doesn't let any ADW operate. DraftKings offering is also miniscule compared to us. I'd call us advantaged."*

- Director of Product Design at TwinSpires[3]



Favorable Near-Term Tailwinds

- SALT deduction cap raised from $10,000 to $40,000 provides a direct boost to discretionary entertainment budgets of regional casino customers
- Permanent reinstatement of 100% bonus depreciation allows CHDN to immediately write off heavy CapEx, saving $50-60M annually in taxes
- Tax-free tips and overtime



(1) Primary Research Conversation (2) Green Street Advisors, American Gaming Association (3) Primary Research Conversation (4) Company Investor Presentation (5) IRS

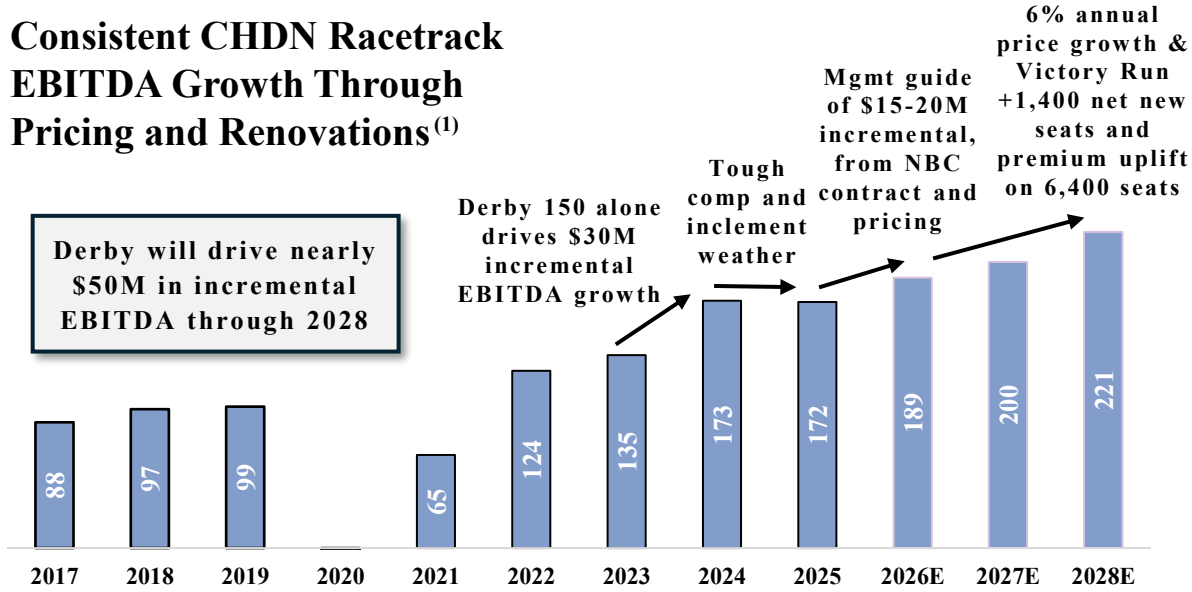
The Derby Is A Steady-Growing Irreplaceable Asset With Durable Pricing Power

Kentucky Derby Week Merits

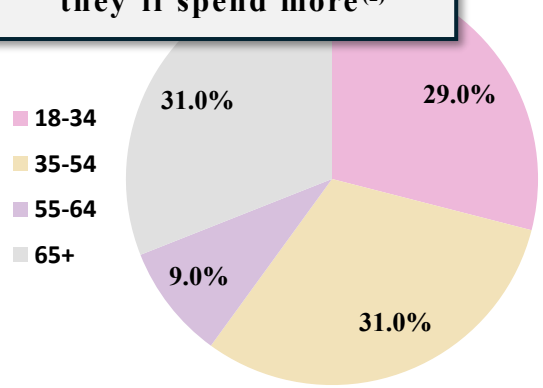
- The Derby is a one-of-a-kind, supply-constrained, recession resistant cash cow with **pricing power and demographic tailwinds**
- ~374,000 attendees during Derby Week, **more than the Super Bowl**
- Reserved seating is always sold out. **Demand > Supply**
- Premium seats drive ~60% of Derby Week Revenue
- 72% of ticket buyers earn $100K+, and 22% earn 250K+

"We are starting to skew downward, and product innovation has really started targeting the younger demographic as well as educating them on handicapping."
- Director of Product Design at TwinSpires answering question on demographic trends(3)

Consistent CHDN Racetrack EBITDA Growth Through Pricing and Renovations(1)

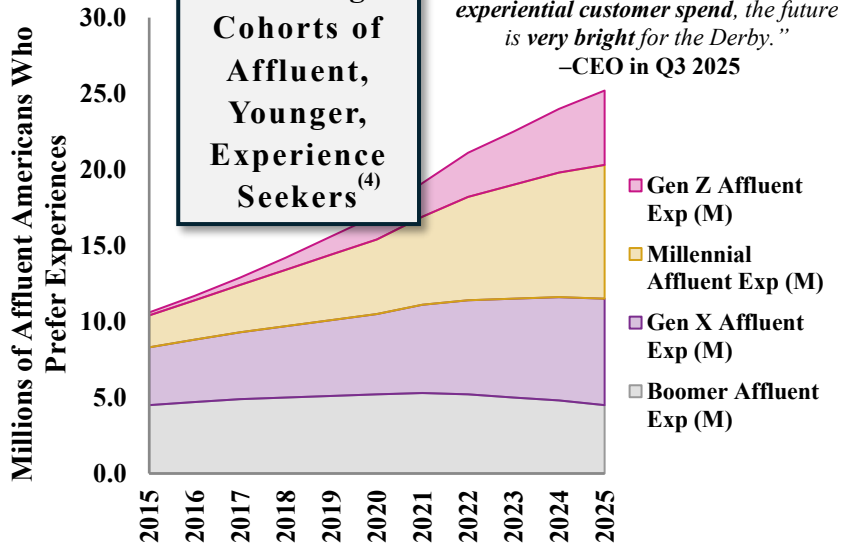


Crowds are becoming younger and wealthier, and as younger cohorts age, they'll spend more(2)

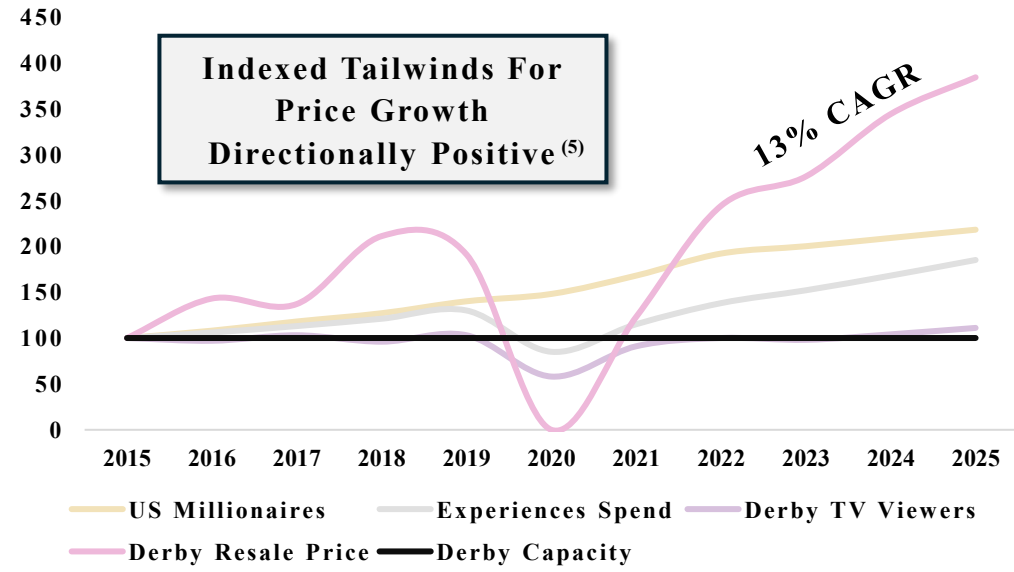


Growing Cohorts of Affluent, Younger, Experience Seekers(4)

*"As we see things **moving towards experiential customer spend**, the future is **very bright** for the Derby."*
–CEO in Q3 2025



Indexed Tailwinds For Price Growth Directionally Positive(5)

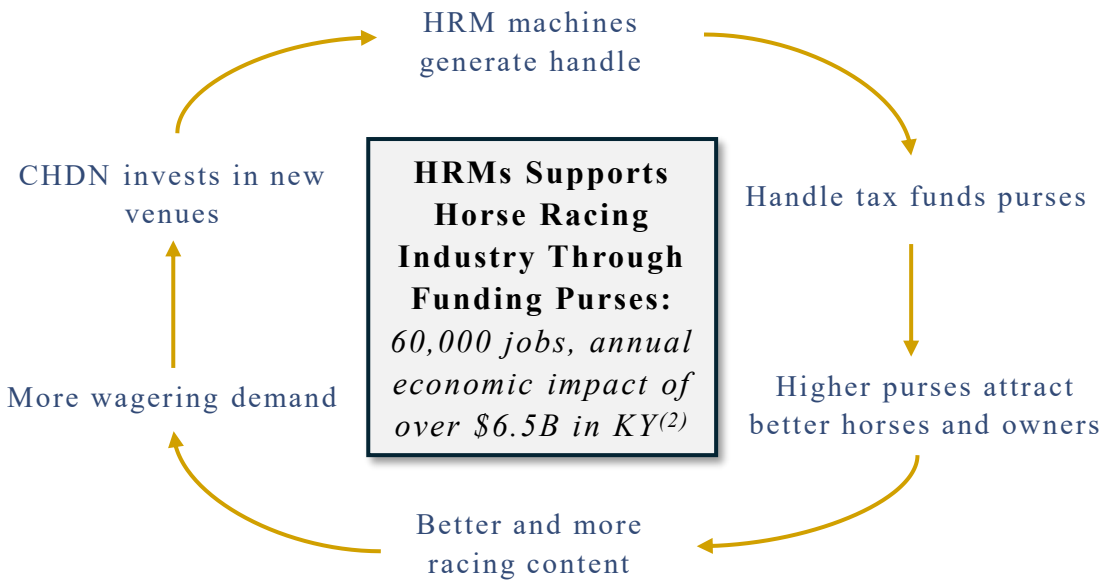


(1) Company Filings and Independent Projections (2) Placer.ai, Company Filings (3) Primary Research Conversation (4) McKinsey, BEA Eventbrite (5) Empower, UBS Wealth Report, TicketIQ, StubHub, SeatGeek, Company Filings, Bain & Co.

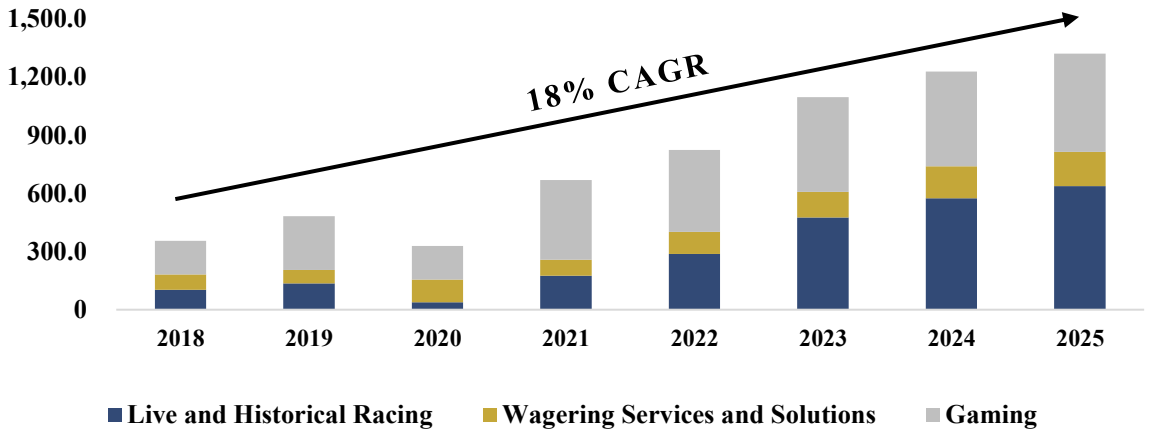
HRM Is a Competitively Favorable Niche That Drives Sustainable Growth

HRMs Enjoy Competitive Advantages

- **Traditional casinos are illegal in KY**, but entities with horse racing licenses can legally operate HRM venues
- KY HRM venues operate as **local monopolies** because licenses are tethered to existing racetrack permits, which the state has effectively stopped issuing, and **venues cannot be within 60 miles** of another track
- CHDN holds the **only racing license in all of VA,** and there are **only five licensed casinos across all of VA**, allowing CHDN to infill markets
- Strict state-wide caps on # of machines allowed. 5,000 in VA, 9,000 in KY, CHDN is at 4,835 and 5,355 respectively



Consistent EBITDA growth driven by HRM (1)



"Historical Horse Racing is an important part of Kentucky's economy that supports jobs and contributes to the state budget"
-Andy Beshear, KY Governor(3)

The primary performance metric of HRMs is W/U/D, which stands for Win per Unit per Day, tracking how much revenue each HRM unit generates throughout a day.

EXACTA™

Exacta is the technology behind Historical Horse Racing. CHDN acquired them in 2023 for $250M, effectively vertically integrating. This has strengthened margins, saving meaningful costs long-term as HRMs and ETGs scale and as Exacta continues to secure contracts providing the technology to third-parties

(1) Company Filings (2) Kentucky Equine Education Project (3) WDRB News

Churchill Downs' Earnings Levers Are Heavily Underestimated

Rockingham Grand Palace

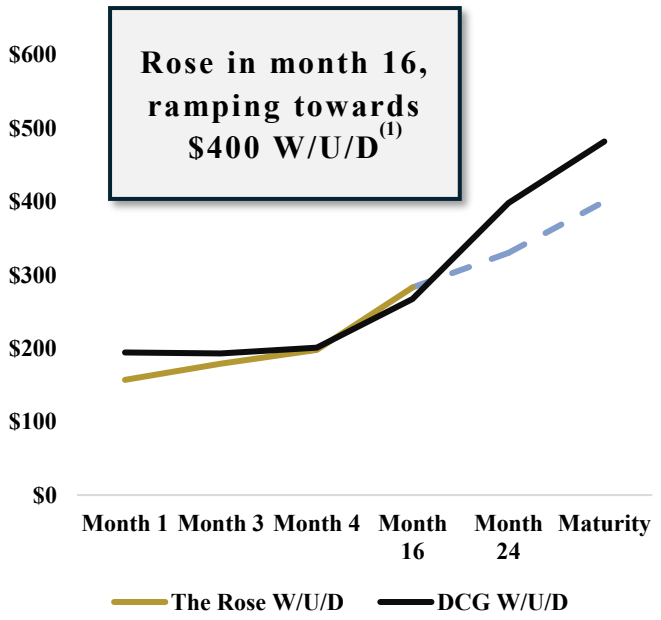
- 825 HRMs, opens mid-2027 in New Hampshire
- For context, the Brook (NH HRM competitor) has 560 HRM's and generates almost >$250 W/U/D. CHDN will have almost double the machines, and a more robust entertainment/food offering
- $85K median household income and 800K adults within 20 miles. Venue with strongest demographic profile apart from Northern Virginia. **We expect over $60M EBITDA contribution through 2030**

Electronic Table Games (ETGs)

- KY approved in near-unanimous vote; launched February 2026. Potential for VA to follow
- ETGs expand the customer base, capturing consumers who may have been crossing the border for table games
- Built on Exacta tech - margin-accretive
- No precise guide or color from mgmt, **numbers have not been baked into consensus and will surprise investors to the upside**
- **Barclays estimates $20–50M net EBITDA contribution** but has not yet flowed it through published estimates pending hard data, thus leaving consensus under-modeled

The Rose Ramp

- 1,650 HRMs, opened Nov 2024, $400M build in Virginia
- For comparison, Derby City Gaming generates $480 W/U/D in a market **6x smaller and half as wealthy**
- Using proprietary analysis of horse racing commission wagering data, we tracked The Rose's ramp against Derby City Gaming's maturation curve and project at least $400 W/U/D at maturity, **contributing over $50M in incremental EBITDA through 2030**



*"I remain incredibly bullish and excited about The Rose in Northern Virginia. It's a very large market and generating awareness and trial is **a multiyear process**."*

- CEO on Q2 2025 Earnings Call

*"We're thrilled with the progression of The Rose. **We still think we have a long way to go**. And we think as we progress and as our win per unit goes up, you should see **improving margins**."*

- CEO on Q3 2025 Earnings Call

(1) Kentucky and Virginia Horse Racing Commission Monthly Pari-Mutuel Data Reports + Our Own Proprietary Research / Analysis

Management is disciplined and focused on long-term shareholder value



Bill Carstanjen

CEO since 2014, been with CHDN for 21 yrs

- Former **GE** Executive, only 57 yrs old and **owns 2.4% of shares** ($141M in shares, **~18x his annual compensation**)
- Columbia Law School, Began career as attorney with Cravath, Swaine, & Moore LLP in NYC



Marcia Dall

CFO since 2015, former CFO of ERIE

- 20+ yr tenure with **GE**
- CPA and MBA from Indiana University and Kellogg



Bill Mudd

President and COO, 19 yrs with CHDN

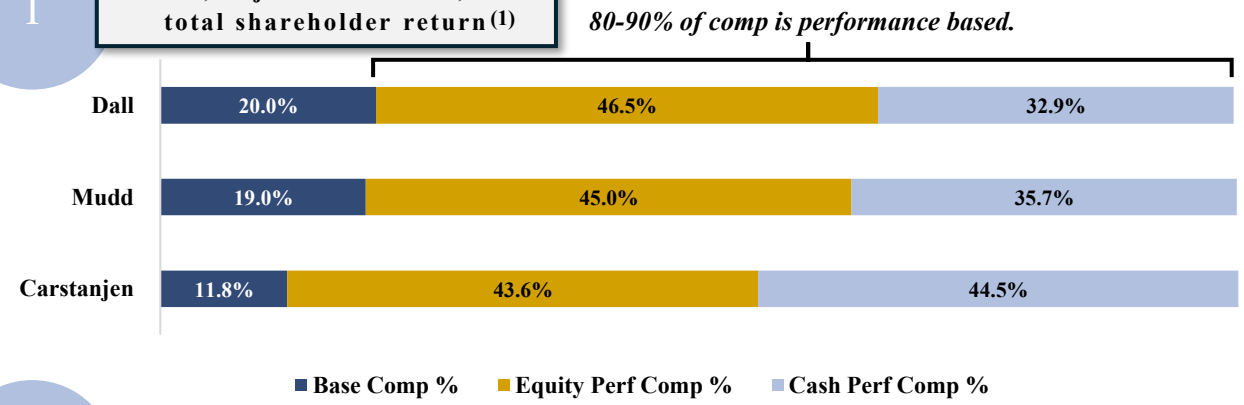
- 15 yr multi-industry, multi-business background with **GE**
- Former Captain in the U.S. Army Reserves. Kentuckian

The Common Denominator: General Electric

- Management are **like-minded leaders** with decades of experience in lean management and strategy under Jack Welch
- Similar to vintage GE, CHDN is decisive with cutting underperforming assets, aims to **dominate niche markets**, and places heavy emphasis on **driving shareholder returns**

1

Compensation is tied to 3-year ROIC, adjusted EBITDA, and total shareholder return (1)



2 (2)

Select Property	Year of Investment	Cumulative Investment	Projected Unlevered IRR
Derby City Gaming (HRM)	2018	$154M	>65%
Oak Grove (HRM)	2020	$196M	>30%
Paddock at the Racetrack	2024	$178M	>20%

3

Management does not give quarterly or annual guidance, opting to take a **long-term view, patiently delivering value**

- **15 consecutive yrs** of dividend growth
- Returned **over $2.1B in share repurchases** since 2015. $430m authorization today
- Outperformed the market by a wide margin for a decade

*"We have followed the company for almost a decade and have built **tremendous conviction in management** after having spoken and/or met with the team on multiple occasions. This is a management team that allocates capital to achieve maximum returns. We believe **Bill and Marcia are A+.**"*

- Anonymous Investor on VIC

(1) 2025 DEF14A Proxy Filing (2) Company Investor Presentation

Summary of Base Case DCF Valuation and Model Assumptions

5-Yr EV/EBITDA DCF	
Discount Rate	7.96%
EV/EBITDA Exit Multiple	12.00x
FY2030 EBITDA	1,431
PV of Terminal Value	12,415
PV of UFCF	4,303
Implied Enterprise Value	**16,718**
(+) Cash	201
(-) Debt	5,197
Implied Equity Value	**11,722**
Shares Outstanding	70
Implied Share Price	**$168.18**
Upside	90%
Implied Long-Term Growth Rate	**1.7%**

5 - Yr Perpetuity Growth Method DCF	
Discount Rate	7.96%
Long-term Growth Rate	3.0%
PV of Terminal Value	11,883
PV of UFCF	4,303
Implied Enterprise Value	**16,186**
(+) Cash	201
(-) Debt	5,197
Implied Equity Value	**11,189**
Shares Outstanding	70
Implied Share Price	**$160.55**
Upside	81%
Implied EV/EBITDA Multiple	**11.3x**

CHDN's 10-year average NTM EV/EBITDA multiple excluding the COVID-19 period is ~12x. We assume a 12x multiple as CHDN as overhangs clear and the multiple mean reverts

PT = $165, 86% Upside

$MM	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Live and Historical Racing	***646***	***1,085***	***1,267***	***1,442***	***1,567***	***1,641***	***1,744***	***1,792***	***1,842***
% Growth	*13.3%*	67.8%	16.8%	13.8%	8.6%	4.7%	6.3%	2.8%	2.8%
Wagering Services and Solutions	***442***	***458***	***501***	***526***	***545***	***566***	***588***	***611***	***637***
% Growth	*68.3%*	3.8%	9.2%	5.1%	3.5%	3.9%	3.9%	3.9%	4.3%
Gaming	***762***	***975***	***1,045***	***1,049***	***1,060***	***1,070***	***1,081***	***1,092***	***1,103***
% Growth	*7.0%*	27.9%	7.3%	0.4%	1.0%	1.0%	1.0%	1.0%	1.0%
Total Revenue	***1,810***	***2,462***	***2,734***	***2,926***	***3,069***	***3,165***	***3,291***	***3,362***	***3,440***
% Growth	*7.0%*	36.0%	11.1%	7.0%	4.9%	3.1%	4.0%	2.2%	2.3%
EBITDA	**764**	**1,024**	**1,159**	**1,205**	**1,271**	**1,311**	**1,360**	**1,394**	**1,431**
% Margin	42.2%	41.6%	42.4%	41.2%	41.4%	41.4%	41.3%	41.5%	41.6%
Taxes Paid in Cash	7	98	103	64	87	110	133	156	196
CapEx	50	78	84	70	307	158	165	168	172
Change in NWC	-182	-64	3	2	0	0	0	0	0
Unlevered Free Cash Flow	**889**	**912**	**969**	**1,070**	**878**	**1,043**	**1,063**	**1,070**	**1,063**
PV of FCF					**854**	**949**	**896**	**836**	**769**

Valuation Methodology

- HRM revenue is built bottom-up by projecting W/U/D for every HRM venue using state gaming commission data (KHRC/VRC), adjusted for maturity curve position, local demographics, and competitive positioning
- **Key Assumptions / Drivers:**
  - NBC contract renewal adds $18M incremental EBITDA (contractual, guided by management)
  - Derby pricing grows 6% annually; Victory Run adds ~$10M EBITDA at 2028 opening
  - The Rose matures to ~$400 W/U/D by 2028
  - Rockingham Grand opens mid-2027,beginning to contribute incremental ~$20M EBITDA in 2028
  - HRM organic growth decelerates toward GDP as venues mature
  - Consolidated margins stable as regional gaming segment offsets gains from TwinSpires and HRMs
  - Management guide of ~$120M in maintenance CapEx and ~$180M in project CapEx
  - **ETGs excluded entirely - any contribution is pure upside optionality**

What Could Go Wrong & How Does the Market Come Around?

Key Risks



HRM Regulation

Any change to HRM laws, i.e. subjecting them to gambling laws would impair CHDN's growth engine

Why we aren't worried:

- KY HRMs have operated since 2011 with strong legislative support
- HRMs operate under statute, essential to the horse racing industry and state

Virginia iGaming

Legalization of iGaming in Virginia would cannibalize roughly 20-25% of VA HRM revenue

Why we aren't worried:

- Off the table until at least 2027
- If passed, would not be implemented until mid 2028 at the earlies; mgmt is prepared
- We factor this aggressively into our bear case

Prediction Markets

Rapid growth of prediction markets (Polymarket, Kalshi) could draw wagering dollars away from regional gaming or offer horse racing

Why we aren't worried:

- Wagers offered would only be through their consent and terms
- Federally protected under IHA
- Little overlap between HRM and prediction market customer base

Catalysts

Electronic Table Games

- First management color on **Q1 earnings call** with racing commission data providing first independent read
- As data confirms contribution, sell-side bakes ETG contribution into models, driving consensus revisions higher

→

Derby 152 Numbers

- Reserved ticket demand pacing ahead of prior years, with little to no effect from macro
- **Q2 earnings** validates Derby as a healthy, growing franchise, removing the overhang from Derby 151 softness and restoring investor confidence

→

Net Leverage Ratio Compressing

- Reported net leverage crosses below 4.0x in 2026, triggering S&P outlook revision to Positive in **late 2026**
- Unlocks mandate-constrained capital that sold post BB- downgrade
- CHDN will be able to accelerate buybacks



Appendix

Dynamic Appendix

Debt as a Tailwind

Historic EV/EBITDA Multiple

WACC Calculation

DCF Sensitivity Analysis

Comparables/SOTP

SOTP Sensitivity Analysis

EBITDA Bridges

Bear Case DCF

Bull Case DCF

Institutional Flow Analysis

Reported Adj. EBITDA Bridge

Reverse DCF

Reverse DCF Sensitivity Analysis

Bear Case Drivers

Base Case Drivers

Bull Case Drivers

Debt Terms

Football Field Analysis

Top Institutional Holders

Top Insider Holders

Recent Insider Transactions

Wholly Owned Gaming Properties

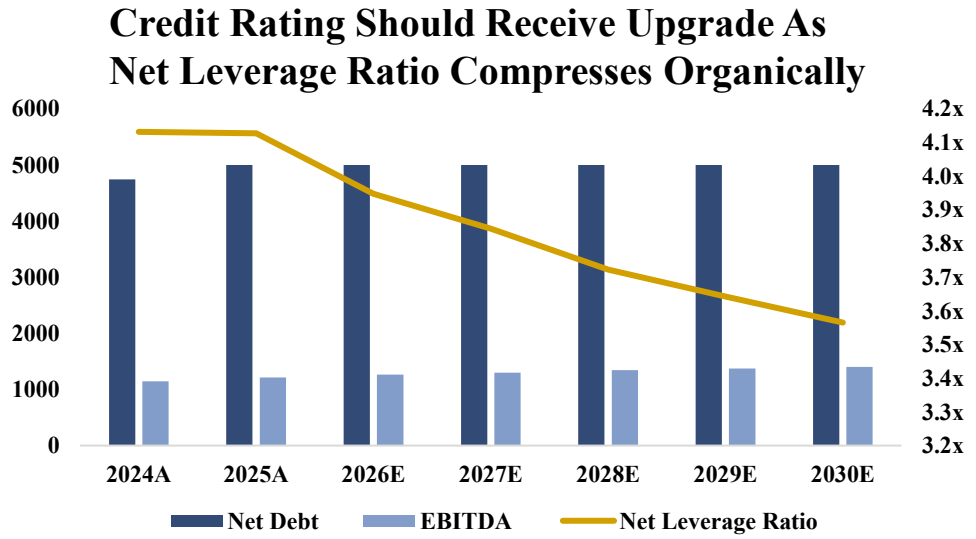
Kentucky Regional Properties

VA + NH Regional Properties

Taking A Look Under The Hood – Debt Is a Tailwind, Not a Headwind

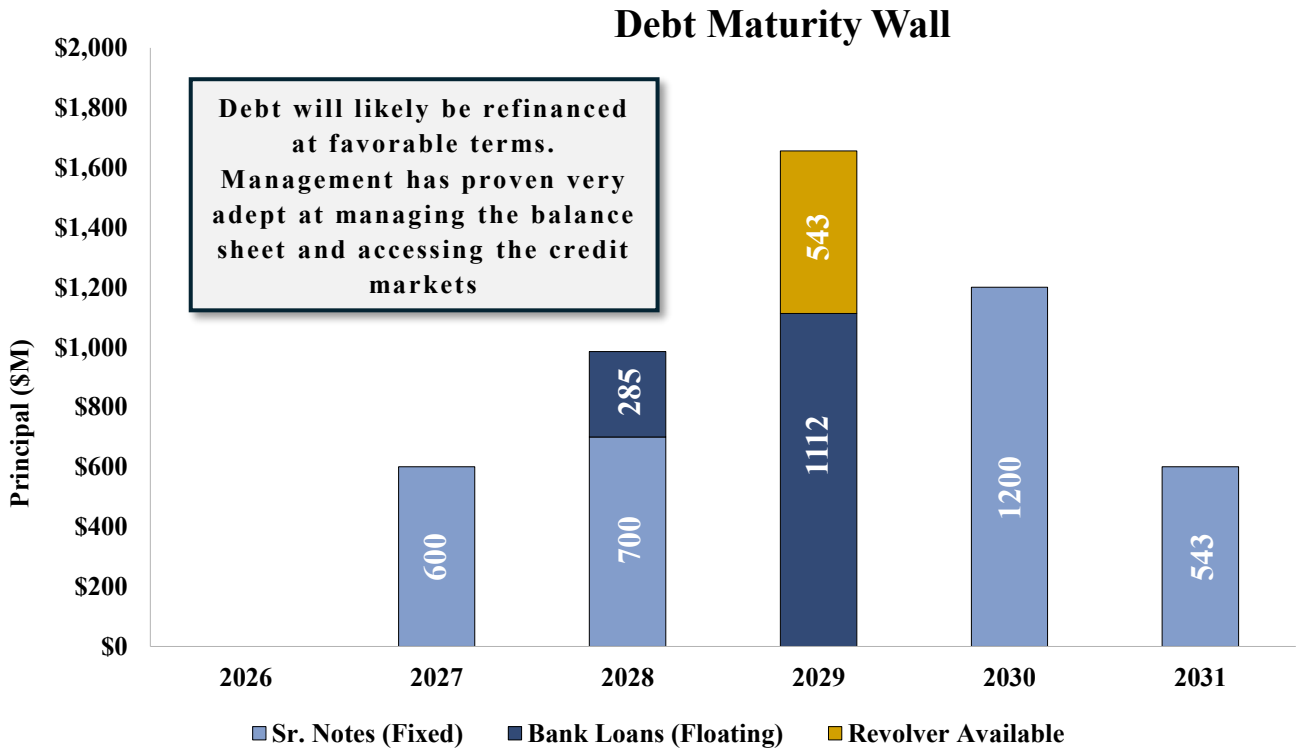
Why 4.0x leverage is comfortable

- **$770M annual operating cash flow** on ~$275M debt service = 2.8x coverage, and 73% of the debt is fixed rate
- Management expects net leverage ratio compressing from 4.1x → sub-4x organically without paying down a dollar of debt, just EBITDA growth
- **$543M in undrawn revolver** and $212M in cash provides a $755M liquidity runway
- **The underlying cash flows are recurring and durable in nature.** Regional gaming is relatively recession-resistant, and HRM venue revenue are sticky through regulation and licenses. The Derby alone guarantees over $150M in EBITDA generated annually
- Option to generate ~$1.6B cash from sale leasebacks



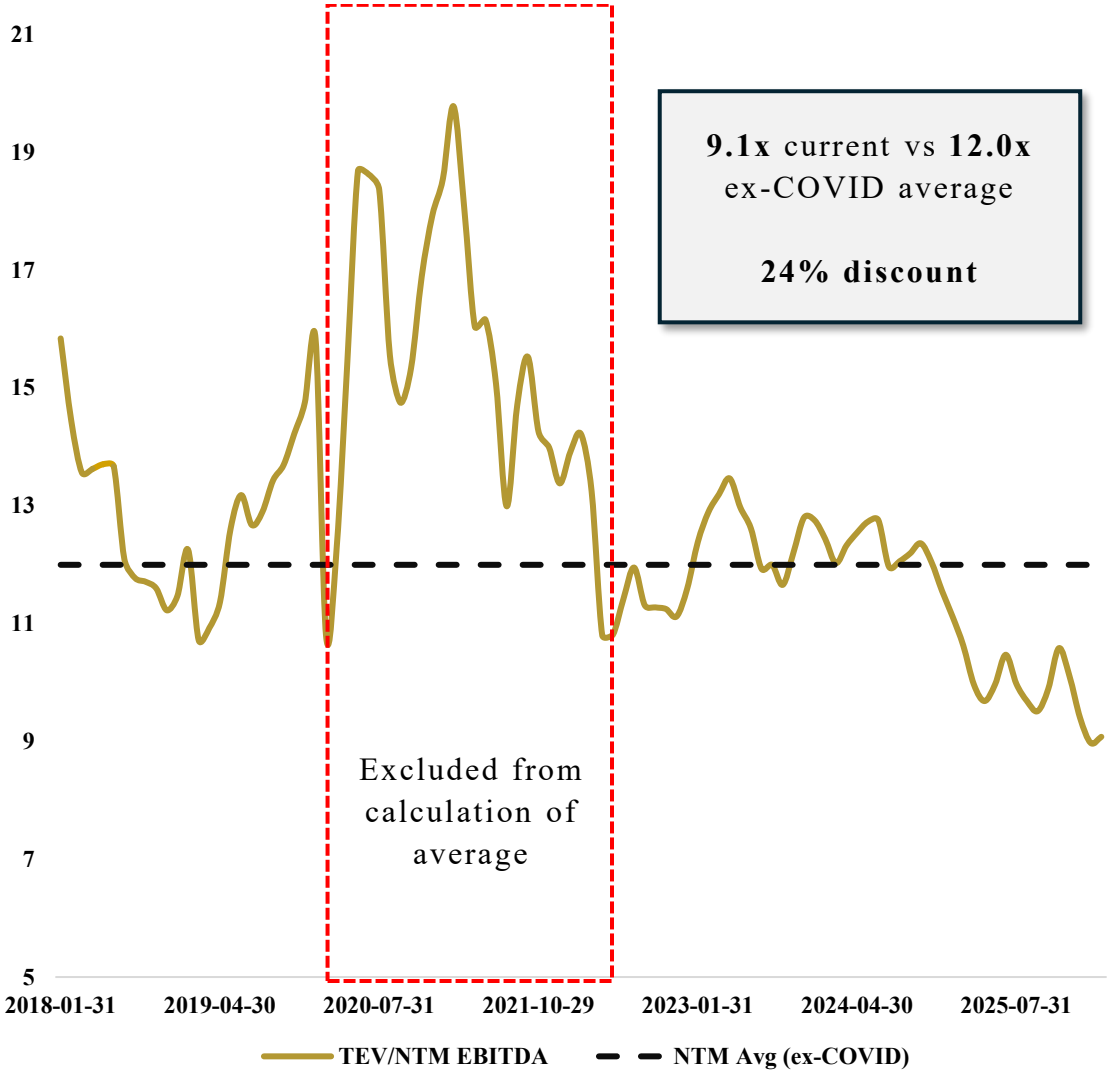
Management chooses to stay levered

- Management has an ideal target of 3.0x-4.0x bank covenant net leverage, though willing to go higher for a strategic investment (Like P2E and Rockingham)
- ROIC on new HRM venues (30-40% cash returns) far exceeds their ~5% cost of debt, thus paying down debt would be capital destruction
- Credit downgrade was a product of management choosing to buy back $456M in stock and make strategic investments

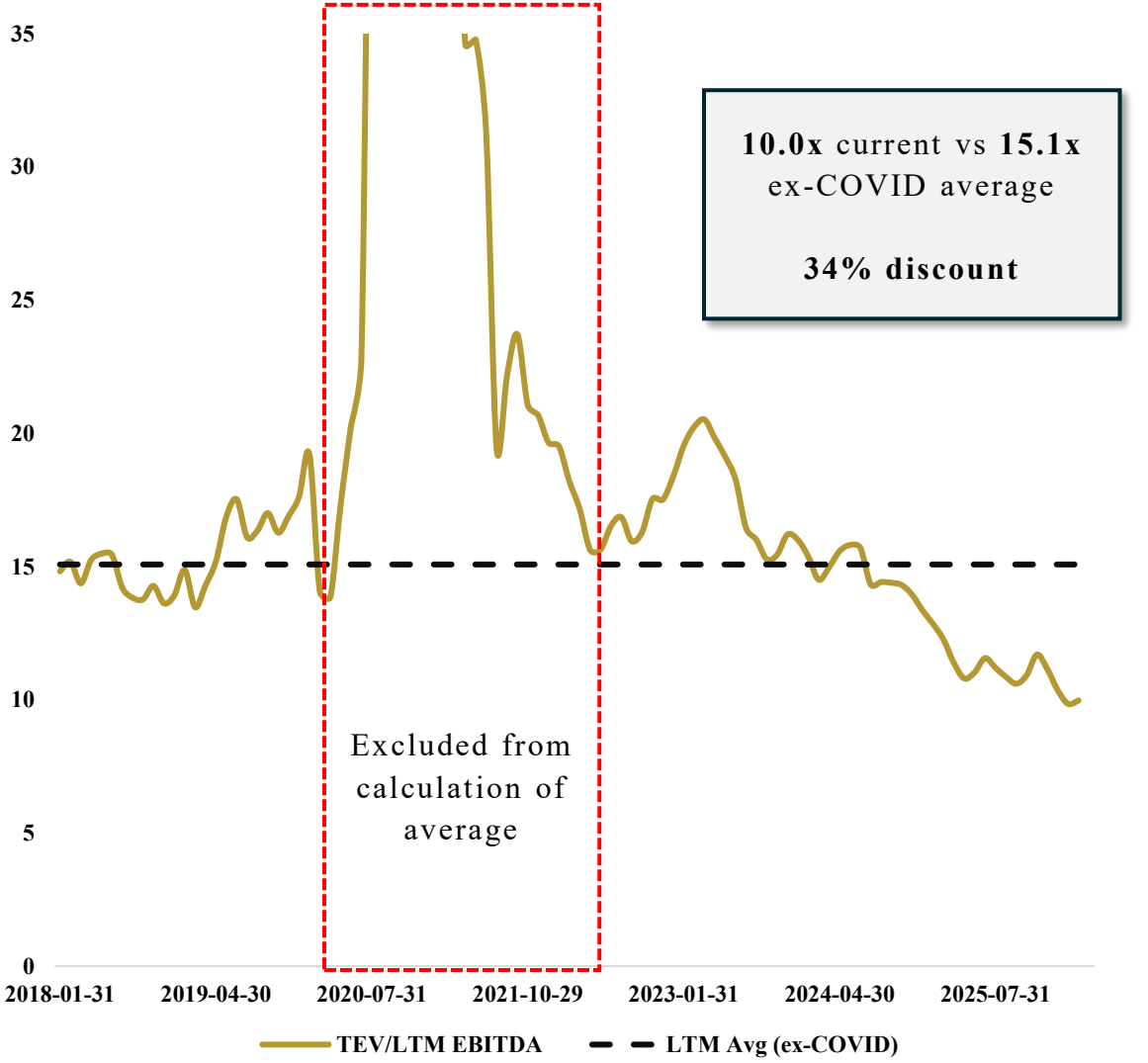


Large Discount To Historical EV/EBITDA Multiple

CHDN NTM EV/EBITDA – 2018 to Present (Ex. Covid)



CHDN LTM EV/EBITDA – 2018 to Present (Ex. Covid)



Source: Capital IQ

WACC Calculation – Deliberately Conservative on Inputs

Cost of Debt Calculation (in thousands)

Loans	Principle	Interest Rate	Floating	Adjusted Rate
2027 Senior Notes	600	5.5%	No	5.50%
2028 Senior Notes	700	4.8%	No	4.75%
2030 Senior Notes	1,200	5.8%	No	5.75%
2031 Senior Notes	600	6.8%	No	6.75%
Financing Obligations - Lease	28	4.8%	No	4.80%
Operating Leases	39	5.1%	No	5.10%
Revolving Credit Facility	657	SOFR + 1.500%	Yes	5.12%
Term Loan A Due 2029	1,112	SOFR + 1.500%	Yes	5.12%
Term Loan B-1 Due 2028	286	SOFR + 1.750%	Yes	5.37%
Cost of Debt Calculation				**5.46%**
After Tax Cost of Debt				**4.31%**
After Tax Cost of Debt Adjusted To Account For Future Refinancing				**5.00%**

^Will refinance notes in the next two to three years at prevailing BB rates. We bake in an 69 bps upward adjustment

Cost of Equity Calculation

Riskfree Rate	4.25%	
Unlevered Beta	0.66	
D/E Ratio	0.843	
Levered Beta	1.0800	**CHDN reported Beta is 0.68, we adjust tobroader gaming sector**
Equity Risk Premium	5.75%	**Roughly 75-100bps greater than broadly implied ERP**
Cost of Equity	**10.46%**	

WACC Calculation (numbers in millions)

	Amount	% of Total
Market Value of Equity	6,166.7	54.3%
Total Debt	5,197.00	45.7%
WACC	**7.96%**	**100.00%**

DCF Sensitivity Analysis

Multiples Method

Bull Case

Terminal Multiple

WACC	9x	10x	11x	12x
6%	$159.40	$177.22	$195.04	$212.86
7%	$151.68	$168.80	$185.93	$203.05
8%	$144.31	$160.77	$177.24	$193.70
9%	$137.28	$153.11	$168.94	$184.78
10%	$130.56	$145.79	$161.02	$176.25

Base Case

Terminal Multiple

WACC	9x	10x	11x	12x
6%	$136.99	$153.03	$169.07	$185.12
7%	$130.04	$145.46	$160.87	$176.29
8%	$123.41	$138.23	$153.05	$167.88
9%	$117.08	$131.33	$145.59	$159.84
10%	$111.03	$124.74	$138.46	$152.17

Bear Case

Terminal Multiple

WACC	9x	10x	11x	12x
6%	$79.63	$91.17	$102.71	$114.26
7%	$74.68	$85.77	$96.86	$107.95
8%	$69.95	$80.61	$91.27	$101.94
9%	$65.43	$75.69	$85.94	$96.20
10%	$61.12	$70.98	$80.85	$90.72

Perpetuity Growth Method

Bull Case

Perpetuity Growth

WACC	2%	2.5%	3%
6%	$274.39	$316.82	$373.41
7%	$201.02	$225.84	$256.89
8%	$152.85	$168.78	$187.90
9%	$119.02	$129.89	$142.58
10%	$94.08	$101.85	$110.72

Base Case

Perpetuity Growth

WACC	2%	2.5%	3%
6%	$234.91	$272.24	$322.04
7%	$170.31	$192.16	$219.48
8%	$127.90	$141.92	$158.75
9%	$98.11	$107.67	$118.84
10%	$76.14	$82.97	$90.78

Bear Case

Perpetuity Growth

WACC	2%	2.5%	3%
6%	$128.62	$152.18	$183.59
7%	$87.80	$101.58	$118.82
8%	$60.98	$69.82	$80.43
9%	$42.11	$48.14	$55.19
10%	$28.18	$32.49	$37.42

Comparables / SOTP

Comparable Companies												
$mm												
		Mkt Cap		EV		LTM EBITDA	EV/EBITDA NTM	3-year EBITDA CAGR	EBITDA Margin
Churchill Downs		**$6,244**		**$11,287**		**$1,241**	**9.09x**	**5.6%**	**41.2%**
Regional Gaming									
Boyd Gaming Corporation	$	6,347	$	8,704	$	1,216	7.16x	-1.5%	29.3%
Red Rock Resorts	$	3,253	$	6,710	$	869	7.73x	3.6%	42.2%
PENN Entertainment	$	1,859	$	12,438	$	1,793	6.94x	-4.0%	10.4%
Median:	$	3,253	$	8,704	$	1,216	7.16x	-1.5%	29.3%
Online Gaming									
DraftKings	$	11,353	$	12,115	$	273	14.88x	N/A	4.5%
Flutter Entertainment	$	18,257	$	29,938	$	2,132	9.99x	13.4%	13.0%
Evolution AB	$	12,769	$	11,935	$	1,459	7.28x	1.9%	61.2%
Median:	$	12,769	$	12,115	$	1,459	9.99x	7.7%	13.0%
Sports/Entertainment									
Formula One Group	$	21,410	$	26,172	$	997	20.86x	14.0%	22.2%
TKO Group	$	15,361	$	24,106	$	1,376	10.57x	24.9%	29.1%
Manchester United	$	3,064	$	4,055	$	288	13.68x	13.6%	33.2%
Median:	$	15,361	$	24,106	$	997	13.68x	14.0%	29.1%

SOTP Valuation	FY26 EBITDA	FY26 EV/EBITDA	Implied Value	
HRM and Gaming	896	8.50x	7619	HRMs has grown EBITDA double digits annually whilst operating in competitively advantaged markets vs. regional gaming comps
Wagering Services and Solutions	185	9.99x	1850	The closest profitable, multi-vertical wagering comp to Flutter, though enjoys better competitive dynamics and 34% margins
Derby	190	20.86x	3959	Derby has EBITDA margin in the 60% range, supply-constrained, contracted-broadcast, premium-driven model similar to F1
				Sell side uses 20x - 30x, and some comment on that being conservative if it was to actually come to a sale

Total EV	13429
Subtract Net Debt	4996
Equity Value	8432
Shares Outstanding	68
Implied Value per share	**$124**

Blended Multiple	
12.3x	Deserved multiple as CHDN boasts a stronger margin profile as well as is more resilient across business cycles than comps

Source: Capital IQ

SOTP Sensitivity Analysis

HRM & Gaming

WSS

	7.00x	8.50x	10.00x
8.00x	$98.88	$118.66	$138.45
9.00x	$101.60	$121.39	$141.17
10.00x	$104.33	$124.11	$143.90

Derby

	7.00x	8.50x	10.00x
15.00x	$87.93	$107.72	$127.50
20.00x	$101.90	$121.68	$141.47
30.00x	$129.83	$149.61	$169.40

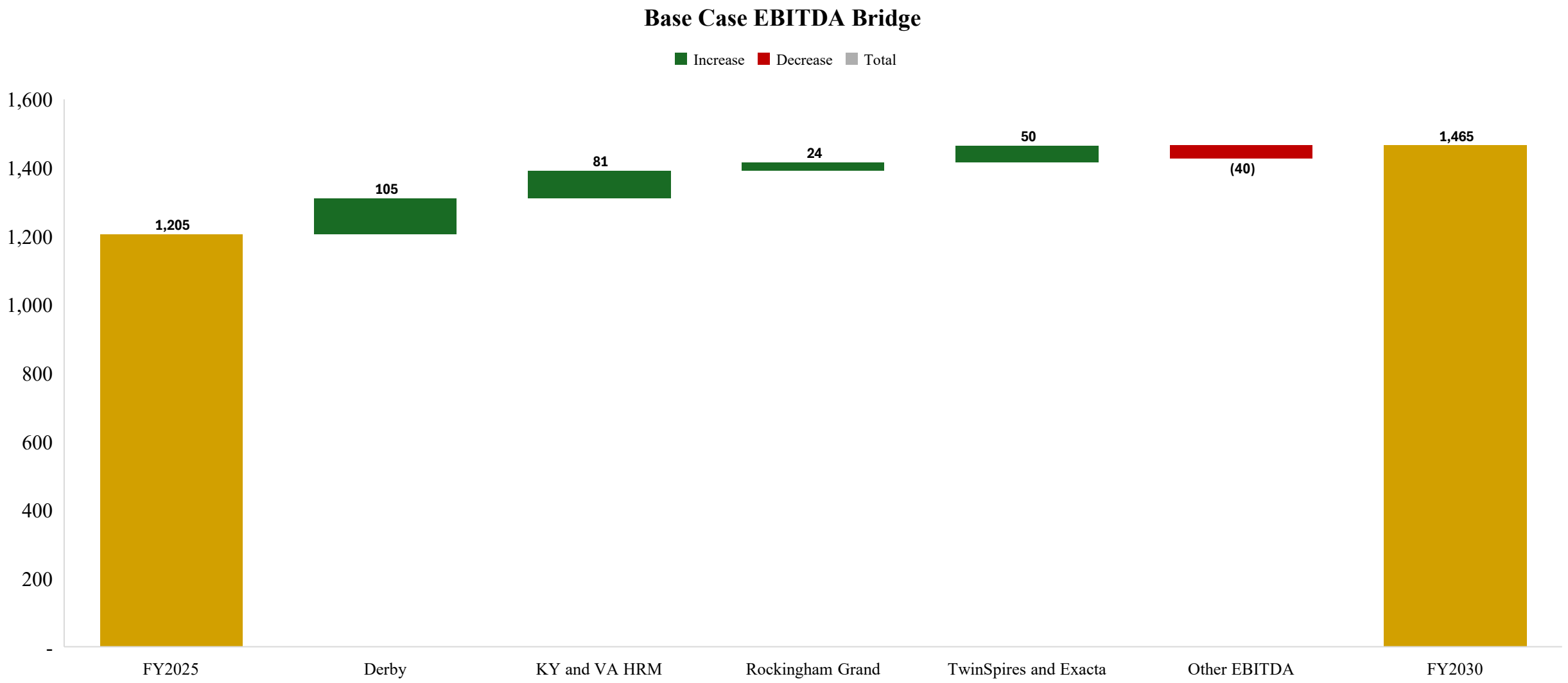
WSS

Derby

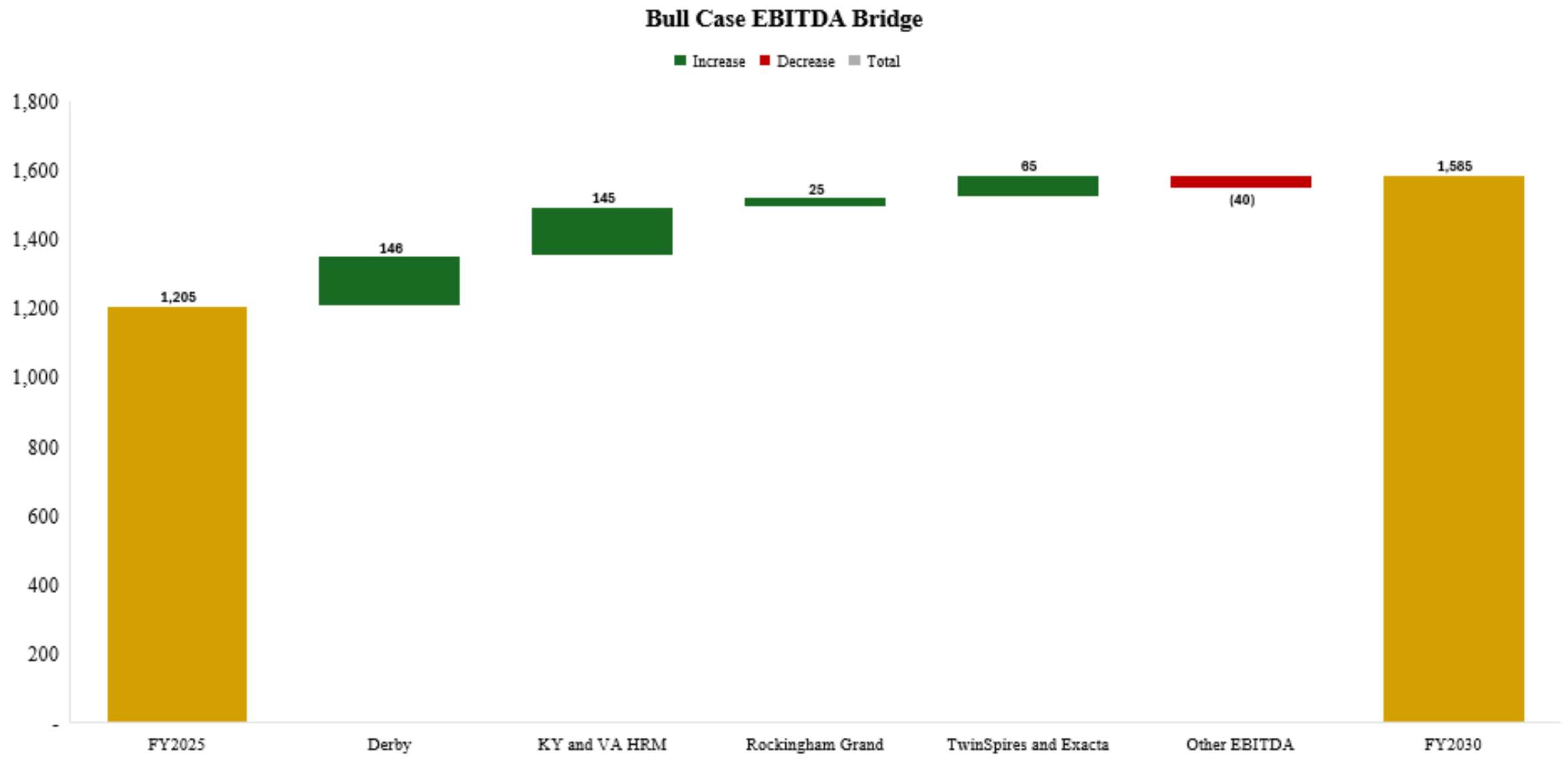
	8.00x	9.00x	10.00x
15.00x	$102.29	$105.02	$107.75
20.00x	$116.26	$118.99	$121.71
30.00x	$144.19	$146.92	$149.64

Source: Capital IQ

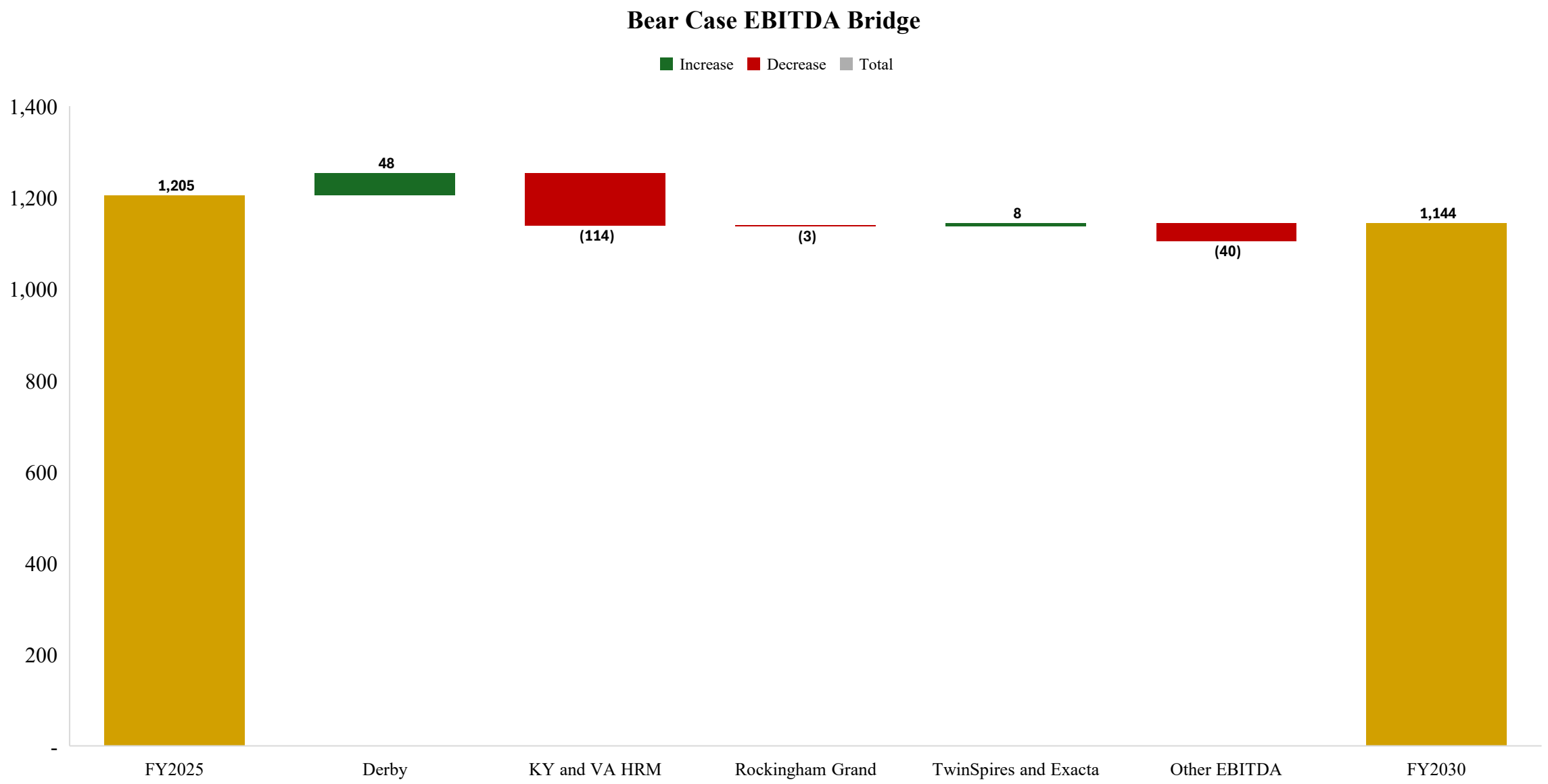
Base Case 2025-2030 EBITDA Bridge



Bull Case 2025-2030 EBITDA Bridge



Bear Case 2025-2030 EBITDA Bridge



DCF, Bear Case – PT of $70, -20% downside

5-Yr EV/EBITDA DCF	
Discount Rate	7.96%
EV/EBITDA Exit Multiple	9.00x
FY2030 EBITDA	1,029
PV of Terminal Value	6,698
PV of UFCF	3,185
Implied Enterprise Value	**9,883**
(+) Cash	201
(-) Debt	5,197
Implied Equity Value	**4,887**
Shares Outstanding	70
Implied Share Price	**$70.12**
Upside	-21%
Implied Long-Term Growth Rate	**0.7%**

5 - Yr Perpetuity Growth Method DCF	
Discount Rate	7.96%
Long-term Growth Rate	2.5%
PV of Terminal Value	6,744
PV of UFCF	3,185
Implied Enterprise Value	**9,929**
(+) Cash	201
(-) Debt	5,197
Implied Equity Value	**4,933**
Shares Outstanding	70
Implied Share Price	**$70.78**
Upside	-20%
Implied EV/EBITDA Multiple	**9.6x**

$MM	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Live and Historical Racing	***646***	***1,085***	***1,267***	***1,442***	***1,465***	***1,454***	***1,434***	***1,456***	***1,479***
% Growth	*13.3%*	67.8%	16.8%	13.8%	1.5%	-0.7%	-1.3%	1.5%	1.6%
Wagering Services and Solutions	***442***	***458***	***501***	***526***	***529***	***534***	***538***	***543***	***550***
% Growth	*68.3%*	3.8%	9.2%	5.1%	0.5%	0.9%	0.9%	0.9%	1.3%
Gaming	***762***	***975***	***1,045***	***1,049***	***1,028***	***1,012***	***1,000***	***992***	***988***
% Growth	*7.0%*	27.9%	7.3%	0.4%	-2.0%	-1.6%	-1.2%	-0.8%	-0.4%
Total Revenue	***1,810***	***2,462***	***2,734***	***2,926***	***2,920***	***2,887***	***2,850***	***2,859***	***2,875***
% Growth	*7.0%*	36.0%	11.1%	7.0%	-0.2%	-1.1%	-1.3%	0.3%	0.6%
EBITDA	**764**	**1,024**	**1,159**	**1,205**	**1,154**	**1,130**	**1,103**	**1,094**	**1,089**
% Margin	42.2%	41.6%	42.4%	41.2%	39.5%	39.1%	38.7%	38.3%	37.9%
Taxes Paid in Cash	7	98	103	64	87	110	133	156	196
CapEx	50	78	84	70	307	173	171	172	173
Change in NWC	-182	-64	3	2	0	0	0	0	0
Unlevered Free Cash Flow	**889**	**912**	**969**	**1,070**	**761**	**847**	**799**	**767**	**721**
PV of FCF					**740**	**771**	**674**	**599**	**521**

Key Assumptions

- Derby fails to exert pricing power; price grows at GDP; Victory Run project is never completed
- Cannibalization of 35% of VA HRM revenue and margin compression as iGaming bill is passed and additional casino licenses handed out in VA
- Rockingham Grand opens a year late with 125 less units and lower W/U/D
- Margins compress 330bps by 2030 as Gaming Segment loses share rapidly and unfavorable competition arises along KY borders
- Multiple compresses to 9x EV/EBITDA, in-line with broader low quality industry peers, and three turns under historical average

DCF, Bull Case – PT of $200, +127% Upside

5-Yr EV/EBITDA DCF	
Discount Rate	7.96%
EV/EBITDA Exit Multiple	13.00x
FY2030 EBITDA	1,589
PV of Terminal Value	14,938
PV of UFCF	4,731
Implied Enterprise Value	**19,669**
(+) Cash	201
(-) Debt	5,197
Implied Equity Value	**14,673**
Shares Outstanding	70
Implied Share Price	**$210.53**
Upside	138%
Implied Long-Term Growth Rate	**2.0%**

5 - Yr Perpetuity Growth Method DCF	
Discount Rate	7.96%
Long-term Growth Rate	3.0%
PV of Terminal Value	13,503
PV of UFCF	4,731
Implied Enterprise Value	**18,235**
(+) Cash	201
(-) Debt	5,197
Implied Equity Value	**13,238**
Shares Outstanding	70
Implied Share Price	**$189.94**
Upside	115%
Implied EV/EBITDA Multiple	**11.5x**

$MM	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Live and Historical Racing	***646***	***1,085***	***1,267***	***1,442***	***1,685***	***1,770***	***1,886***	***1,950***	***2,019***
% Growth	*13.3%*	67.8%	16.8%	13.8%	16.8%	5.1%	6.5%	3.4%	3.6%
Wagering Services and Solutions	***442***	***458***	***501***	***526***	***553***	***580***	***609***	***640***	***672***
% Growth	*68.3%*	3.8%	9.2%	5.1%	5.0%	5.0%	5.0%	5.0%	5.0%
Gaming	***762***	***975***	***1,045***	***1,049***	***1,070***	***1,092***	***1,114***	***1,136***	***1,159***
% Growth	*7.0%*	27.9%	7.3%	0.4%	2.0%	2.0%	2.0%	2.0%	2.0%
Total Revenue	***1,810***	***2,462***	***2,734***	***2,926***	***3,205***	***3,330***	***3,486***	***3,593***	***3,707***
% Growth	*7.0%*	36.0%	11.1%	7.0%	9.6%	3.9%	4.7%	3.1%	3.2%
EBITDA	**764**	**1,024**	**1,159**	**1,205**	**1,348**	**1,404**	**1,474**	**1,529**	**1,589**
% Margin	42.2%	41.6%	42.4%	41.2%	42.1%	42.2%	42.3%	42.6%	42.9%
Taxes Paid in Cash	7	98	103	64	87	110	133	156	196
CapEx	50	78	84	70	321	166	174	180	185
Change in NWC	-182	-64	3	2	0	0	0	0	0
Unlevered Free Cash Flow	**889**	**912**	**969**	**1,070**	**941**	**1,128**	**1,167**	**1,194**	**1,208**
PV of FCF					**915**	**1,027**	**983**	**932**	**874**

Key Assumptions

- Derby taps into latent pricing power and achieves price growth of 8% through 2030
- Tax tailwinds drive meaningful front-loaded growth in HRMs
- EBITDA Margin expands 150bps as HRMs reach scale and CHDN reaps Exacta benefits, whilst Gaming segment steadies EBITDA margin at 45%
- TwinSpires gains meaningful share as FanDuel TV winds down and more handicappers realize their superior offering
- W/U/D across the board experience modest uplift vs base case as economy sees brighter days
- 13x EV/EBITDA multiple as market realizes CHDN's loftier growth prospects and value of the Derby as an irreplaceable, growing asset

Q4 2025 Institutional Flow Analysis

We can't prove mandate constrained selling with certainty without access to each fund's IPS. But circumstantial evidence is strong.

The selling is clustered in the downgrade quarter, concentrated entirely among quality-oriented long-only managers, offset by buying from unconstrained multi-strat hedge funds, and occurred despite estimate beats and very positive management commentary on Derby and HRMs in Q3. **This pattern leads us to believe much of the sell-off is more consistent with a mandate-driven dislocation than a fundamental reassessment.**

Holder	Common Stock Equivalent Held	% Of CSO	Market Value (USD in mm)	Change in Shares	% Change	Position Date	Source
BlackRock, Inc. (NYSE:BLK)	6,202,982	8.900	555.7	(174,384)	(2.73)	Dec-31-2025	13F
The Vanguard Group, Inc.	6,036,416	8.661	540.8	(323,383)	(5.09)	Dec-31-2025	13F
Capital Research and Management Company	3,099,437	4.447	277.7	839	0.03	Dec-31-2025	13F
The London Company of Virginia, LLC	2,620,723	3.760	234.8	(229,384)	(8.05)	Dec-31-2025	13F
State Street Global Advisors, Inc.	1,956,295	2.807	175.3	11,523	0.59	Dec-31-2025	13F
FMR LLC	1,712,913	2.458	153.5	(271,794)	(13.69)	Dec-31-2025	13F
Carstanjen, William C. CEO & Director	1,685,609	2.419	151.0	-	0.00	Feb-05-2026	Form 4
Arrowstreet Capital, Limited Partnership	1,384,089	1.986	124.0	7,687	0.56	Dec-31-2025	13F
Geode Capital Management, LLC	1,327,655	1.905	118.9	32,445	2.51	Dec-31-2025	13F
Boston Partners Global Investors, Inc.	1,235,653	1.773	110.7	(22,072)	(1.76)	Dec-31-2025	13F
Jennison Associates LLC	1,233,495	1.770	110.5	(223,841)	(15.36)	Dec-31-2025	13F
William Blair Investment Management, LLC	1,159,480	1.664	103.9	(42,086)	(3.50)	Dec-31-2025	Aggregated 13F
HTV Industries, Inc.	1,145,352	1.643	102.6	-	0.00	Jan-06-2026	Form 4
Hudson Way Capital Management, LLC	1,037,822	1.489	93.0	(102,490)	(8.99)	Dec-31-2025	13F
Balyasny Asset Management L.P.	1,020,393	1.464	91.4	494,553	94.05	Dec-31-2025	13F
Citadel Advisors LLC	942,167	1.352	84.4	856,246	996.55	Dec-31-2025	13F
Columbia Management Investment Advisers, LLC	809,471	1.161	72.5	162,033	25.03	Dec-31-2025	13F
Norges Bank Investment Management	795,647	1.142	71.3	360,645	82.91	Dec-31-2025	13F
Mudd, William E. President & COO	732,067	1.050	65.6	-	0.00	Feb-05-2026	Form 4
Alua Capital Management LP	715,580	1.027	64.1	215,300	43.04	Dec-31-2025	13F

Source: Capital IQ

Reverse DCF Implied Growth

☐ CHURCHILL DOWNS INCORPORATED (XNAS:CHDN)

Reverse DCF Model

($ in millions)			Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue			$2,926	$2,912	$2,898	$2,883	$2,869	$2,855
% Growth Rate	% 5-Year CAGR	(0.5%)		(0.5%)	(0.5%)	(0.5%)	(0.5%)	(0.5%)
EBITDA			$1,205	$1,199	$1,194	$1,188	$1,182	$1,176
% EBITDA Margin			41.2%	41.2%	41.2%	41.2%	41.2%	41.2%
Less: Taxes Paid in Cash			(64)	(87)	(110)	(133)	(156)	(196)
Less: Capex			(70)	(307)	(158)	(165)	(168)	(172)
Less: Change in NWC	% Revenue	--	--	--	--	--	--	--
Free Cash Flow to Firm (FCFF)			**1,072**	**$806**	**$926**	**$891**	**$858**	**$809**
Discount Factor	% WACC	10.0%		0.5	1.5	2.5	3.5	4.5
Present Value of FCFF				**$768**	**$802**	**$702**	**$615**	**$527**

Implied DCF Valuation	
Present Value of FCFFs	$3,414
Long-Term Growth Rate	3.0%
Final Year FCF × (1 + g)	$833
Terminal Value in Final Year	$11,899
Present Value of Terminal Value	$7,749
Total Enterprise Value (TEV)	**$11,163**
Less: Net Debt	(4,996)
Equity Value	**$6,167**

Reverse DCF Share Price Calculation	
Diluted Shares Outstanding (mm)	70
Implied Share Price	$88.48
Current Market Share Price	$88.48
Implied Growth Rate	**(0.5%)**

Reverse DCF

Discount Rate	5-year Sales CAGR								
	88.48	-2%	-1%	0%	1%	2%	3%	4%	5%
7.0%	$174.18	$191.66	$209.83	$228.71	$248.32	$268.69	$289.83	$311.77	
7.5%	$148.16	$163.61	$179.67	$196.35	$213.67	$231.66	$250.33	$269.69	
8.0%	$127.34	$141.17	$155.53	$170.45	$185.95	$202.03	$218.72	$236.03	
8.5%	$110.29	$122.79	$135.78	$149.26	$163.26	$177.79	$192.86	$208.49	
9.0%	$96.08	$107.47	$119.31	$131.59	$144.35	$157.58	$171.31	$185.54	
9.5%	$84.04	$94.50	$105.36	$116.64	$128.34	$140.48	$153.07	$166.12	
10.0%	$73.71	$83.37	$93.40	$103.81	$114.61	$125.82	$137.43	$149.48	

EBITDA Margin	5-year Sales CAGR								
	88.48	-2%	-1%	0%	1%	2%	3%	4%	5%
43%	$83.13	$93.21	$103.68	$114.55	$125.82	$137.51	$149.64	$162.21	
42%	$77.91	$87.76	$97.99	$108.60	$119.61	$131.04	$142.88	$155.16	
41%	$72.70	$82.31	$92.30	$102.66	$113.41	$124.56	$136.12	$148.11	
40%	$67.49	$76.87	$86.60	$96.71	$107.20	$118.08	$129.36	$141.05	
39%	$62.27	$71.42	$80.91	$90.77	$100.99	$111.60	$122.60	$134.00	
38%	$57.06	$65.97	$75.22	$84.82	$94.79	$105.12	$115.84	$126.95	
37%	$51.84	$60.52	$69.53	$78.88	$88.58	$98.64	$109.08	$119.89	

Shares Outstanding	5-year Sales CAGR								
	88.48	-2%	-1%	0%	1%	2%	3%	4%	5%
70	$73.39	$83.01	$93.00	$103.36	$114.12	$125.27	$136.84	$148.83	
69	$74.89	$84.70	$94.89	$105.47	$116.44	$127.83	$139.63	$151.86	
67	$76.42	$86.43	$96.83	$107.62	$118.82	$130.43	$142.48	$154.96	
66	$77.98	$88.20	$98.81	$109.82	$121.25	$133.10	$145.39	$158.13	
65	$79.57	$90.00	$100.82	$112.06	$123.72	$135.81	$148.35	$161.35	
63	$81.19	$91.83	$102.88	$114.35	$126.24	$138.58	$151.38	$164.65	
62	$82.85	$93.71	$104.98	$116.68	$128.82	$141.41	$154.47	$168.01	

Bear Case Drivers

	Actual		Estimated				
	2024A	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Churchill Downs Racetrack / Derby							
Racetrack / Derby Revenue	257	262	294	303	320	330	340
Derby Pricing Growth			3%	3%	3%	3%	3%
EBITDA Step-Up, Broadcasting or Projects	0	0	15	0	5	0	0
Racetrack / Derby EBITDA Margin	61.0%	62.0%	62.0%	62.0%	62.0%	62.0%	62.0%
Racetrack / Derby EBITDA	157	163	182	188	199	204	211
Kentucky HRM							
KY CDI HRM Units (avg)	4,526	4,919	5,160	5,160	5,160	5,160	5,160
KY Win/Unit/Day (W/U/D)	318	324	321	305	310	313	316
KY HRM Revenue	525	582	604	575	584	590	595
KY HRM EBITDA Margin	41%	41%	41%	40%	39%	38%	37%
KY HRM EBITDA	215	239	245	230	225	221	217
Virginia HRM							
VA HRM Units (avg)	3,079	4,613	4,835	4835	4835	4835	4835
VA Win/Unit/Day	420	344	310	326	210	214	218
VA HRM Revenue	472	579	547	576	371	378	385
VA HRM EBITDA Margin	40%	41%	41%	39%	39%	38%	38%
VA HRM EBITDA	189	237	222	225	143	144	144
New Hampshire							
NH HRM Units	0	0	0	0	0	0	0
NH HRM W/U/D	0	0	0	0	240	240	240
NH Revenue	13	19	19	0	0	0	0
NH EBITDA Margin	15%	15%	15%	22%	22%	22%	22%
NH EBITDA ($M)	2	3	3	0	0	0	0
Total Live and Historical Racing Revenue	1267	1442	1465	1454	1275	1297	1320
% Growth			2%	-1%	-12%	2%	2%
LHR EBITDA Margin	44%	44%	44%	44%	44%	44%	43%
Total Live and Historical Racing EBITDA	563	641	652	642	566	569	572
TwinSpires & Exacta Revenue	501	526	529	534	538	543	550
% WSS Rev Growth			1%	1%	1%	1%	1%
TwinSpires & Exacta EBITDA Margin	33%	34%	32%	32%	33%	33%	34%
TwinSpire EBITDA	166	177	169	173	177	180	185
Gaming Segment Revenue	1,045	1,049	1028	1012	1000	992	988
% Traditional Gaming Growth			-2%	-2%	-1%	-1%	0%
Gaming EBITDA Margin	48%	46%	42%	42%	41%	41%	41%
Gaming EBITDA	507	483	432	422	414	408	403
Other EBITDA	(88)	(91)	(99.0)	(107.0)	(115.0)	(123.0)	(131.0)

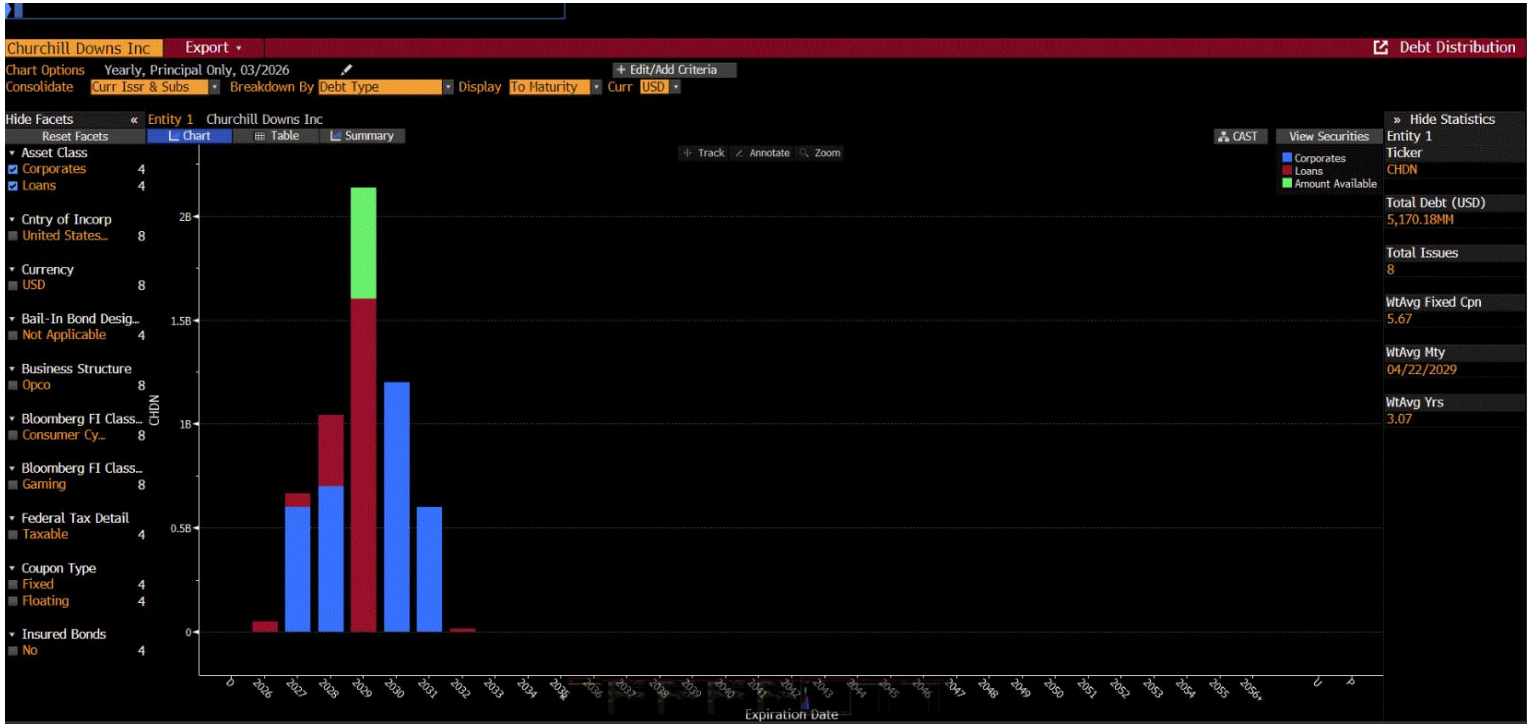
Base Case Drivers

	Actual		Estimated				
	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Churchill Downs Racetrack / Derby							
Racetrack / Derby Revenue	257	262	306	325	358	394	432
Derby Pricing Growth			6%	6%	5%	5%	5%
EBITDA Step-Up, Broadcasting or Projects	0	0	18	0	10	10	10
Racetrack / Derby EBITDA Margin	61.0%	62.0%	62.0%	62.0%	62.0%	62.0%	62.0%
Racetrack / Derby EBITDA	157	163	190	201	222	244	268
Kentucky HRM							
KY CDI HRM Units (avg)	4,526	4,919	5,160	5,160	5,160	5,160	5,160
KY Win/Unit/Day (W/U/D)	318	324	341	345	350	353	356
KY HRM Revenue	525	582	641	650	660	665	671
KY HRM EBITDA Margin	41%	41%	42%	42%	42%	42%	42%
KY HRM EBITDA	215	239	269	273	277	279	282
Virginia HRM							
VA HRM Units (avg)	3,079	4,613	4,835	4835	4835	4835	4835
VA Win/Unit/Day	420	344	340	356	360	364	368
VA HRM Revenue	472	579	600	629	635	643	650
VA HRM EBITDA Margin	40%	41%	41%	41%	42%	42%	42%
VA HRM EBITDA	189	237	246	259	264	270	276
New Hampshire							
NH HRM Units	0	0	0	825	825	825	825
NH HRM W/U/D	0	0	0	250	300	300	300
NH Revenue	13	19	19	38	90	90	90
NH EBITDA Margin	15%	15%	15%	30%	30%	30%	30%
NH EBITDA ($M)	2	3	3	11	27	27	27
Total Live and Historical Racing Revenue	1267	1442	1567	1641	1744	1792	1842
% Growth			9%	5%	6%	3%	3%
LHR EBITDA Margin	44%	44%	45%	45%	45%	46%	46%
Total Live and Historical Racing EBITDA	563	641	708	745	791	820	852
TwinSpires & Exacta Revenue	501	526	545	566	588	611	637
% WSS Rev Growth			4%	4%	4%	4%	4%
TwinSpires & Exacta EBITDA Margin	33%	34%	34%	34%	35%	35%	36%
TwinSpire EBITDA	166	177	185	195	205	215	227
Gaming Segment Revenue	1,045	1,049	1060	1070	1081	1092	1103
% Traditional Gaming Growth			1%	1%	1%	1%	1%
Gaming EBITDA Margin	48%	46%	45%	45%	44%	44%	44%
Gaming EBITDA	507	483	477	478	480	482	483
Other EBITDA	(88)	(91)	(99.0)	(107.0)	(115.0)	(123.0)	(131.0)

Bull Case Drivers

	Actual		Estimated				
	2024A	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Churchill Downs Racetrack / Derby							
Racetrack / Derby Revenue	257	262	315	341	389	441	497
Derby Pricing Growth			8%	8%	8%	8%	8%
EBITDA Step-Up, Broadcasting or Projects	0	0	20	0	13	13	13
Racetrack / Derby EBITDA Margin	61.0%	62.0%	62.0%	62.0%	62.0%	62.0%	62.0%
Racetrack / Derby EBITDA	157	163	196	211	241	273	308
Kentucky HRM							
KY CDI HRM Units (avg)	4,526	4,919	5,160	5,160	5,160	5,160	5,160
KY Win/Unit/Day (W/U/D)	318	324	361	365	370	373	376
KY HRM Revenue	525	582	679	688	697	703	708
KY HRM EBITDA Margin	41%	41%	44%	44%	44%	44%	44%
KY HRM EBITDA	215	239	299	303	307	309	312
Virginia HRM							
VA HRM Units (avg)	3,079	4,613	4,835	4835	4835	4835	4835
VA Win/Unit/Day	420	344	380	396	400	404	408
VA HRM Revenue	472	579	671	699	706	713	720
VA HRM EBITDA Margin	40%	41%	42%	42%	42%	43%	43%
VA HRM EBITDA	189	237	278	292	297	303	309
New Hampshire							
NH HRM Units	0	0	0	825	825	825	825
NH HRM W/U/D	0	0	0	280	310	310	310
NH Revenue	13	19	19	42	93	93	93
NH EBITDA Margin	15%	15%	15%	30%	30%	30%	30%
NH EBITDA ($M)	2	3	3	13	28	28	28
Total Live and Historical Racing Revenue	1267	1442	1685	1770	1886	1950	2019
% Growth			17%	5%	7%	3%	4%
LHR EBITDA Margin	44%	44%	46%	46%	46%	47%	47%
Total Live and Historical Racing EBITDA	563	641	776	818	873	914	957
TwinSpires & Exacta Revenue	501	526	553	580	609	640	672
% WSS Rev Growth			5%	5%	5%	5%	5%
TwinSpires & Exacta EBITDA Margin	33%	34%	34%	35%	35%	36%	36%
TwinSpire EBITDA	166	177	190	202	214	228	242
Gaming Segment Revenue	1,045	1,049	1070	1092	1114	1136	1159
% Traditional Gaming Growth			2%	2%	2%	2%	2%
Gaming EBITDA Margin	48%	46%	45%	45%	45%	45%	45%
Gaming EBITDA	507	483	482	491	501	511	521
Other EBITDA	(88)	(91)	(99.0)	(107.0)	(115.0)	(123.0)	(131.0)

Debt Terms

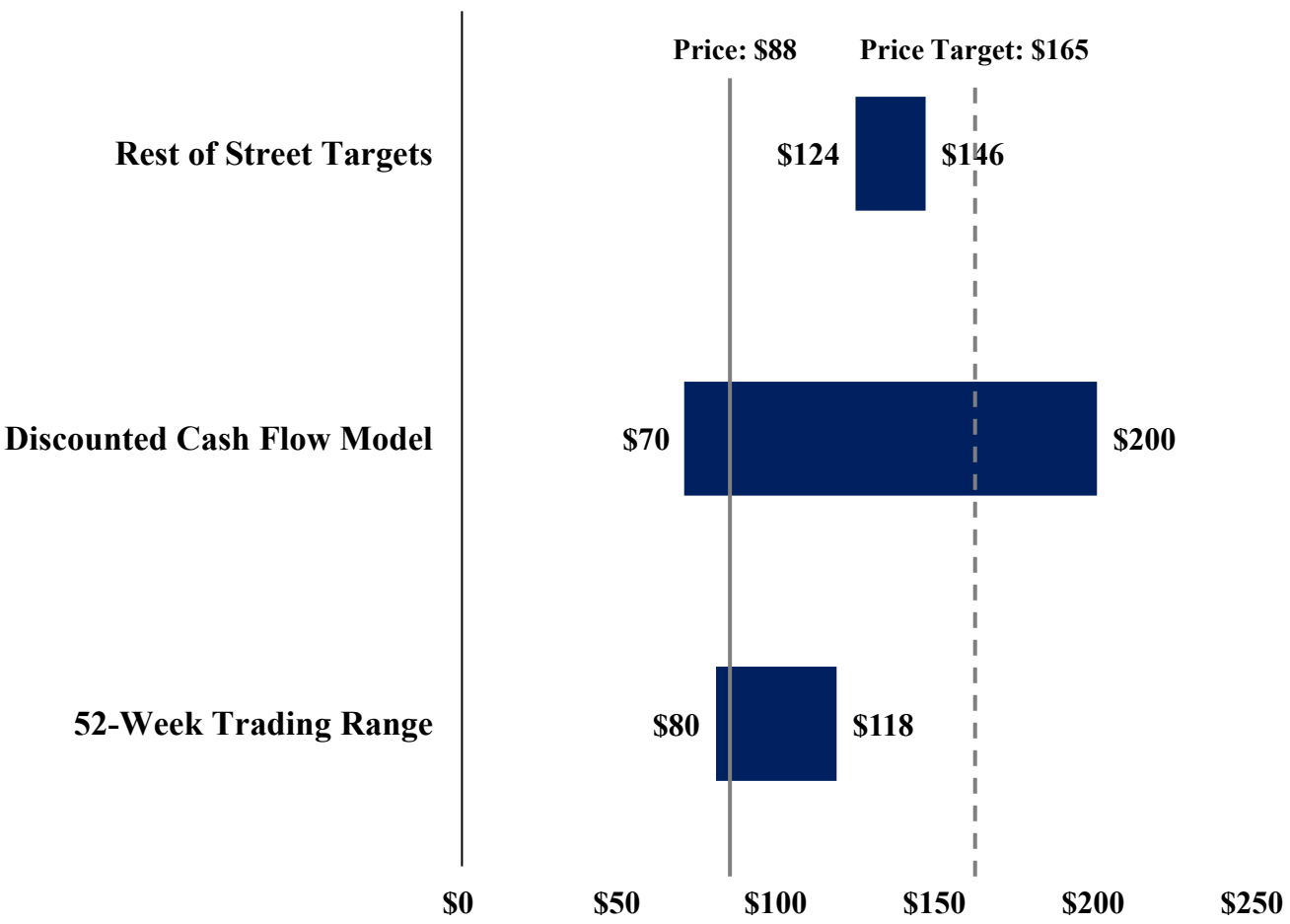


FY 2025 (Dec-31-2025) Capital Structure As Reported Details

Description	Type	Principal Due (USD)	Coupon/Base Rate	Floating Rate	Maturity	Seniority	Secured	Convertible	Repayment Currency
2027 Senior Notes	Bonds and Notes	600.0	5.500%	NA	Apr-01-2027	Senior	No	No	USD
2028 Senior Notes	Bonds and Notes	700.0	4.750%	NA	Jan-15-2028	Senior	No	No	USD
2030 Senior Notes	Bonds and Notes	1,200.0	5.750%	NA	Apr-13-2030	Senior	No	No	USD
2031 Senior Notes	Bonds and Notes	600.0	6.750%	NA	Apr-25-2031	Senior	No	No	USD
Financing Obligations - Lease	Capital Lease	27.8	4.800%	NA	-	Senior	Yes	No	USD
Operating Leases	Capital Lease	39.0	5.100%	NA	-	Senior	Yes	No	USD
Revolving Credit Facility	Revolving Credit	657.0	NA	SOFR + 1.500%	Jul-03-2029	Senior	Yes	No	USD
Term Loan A Due 2029	Term Loans	1,112.3	NA	SOFR + 1.500%	Jul-03-2029	Senior	Yes	No	USD
Term Loan B-1 Due 2028	Term Loans	285.8	NA	SOFR + 1.750%	Mar-17-2028	Senior	Yes	No	USD

(1) Yahoo Finance

Basic Football Field & Sell-Side Consensus vs. Us



Key Financials[1] *In Millions of the trading currency, except per share items.*

Chart Selected Items

For the Fiscal Period Ending	12 months† Dec-31-2026E	12 months Dec-31-2027E	12 months Dec-31-2028E
Currency	*USD*	*USD*	*USD*
Total Revenue	3,030.31	3,136.08	3,282.54
Growth Over Prior Year	*3.57%*	*3.49%*	*4.67%*
Gross Profit	-	-	-
Margin %	*33.30%*	*33.40%*	-
EBITDA	1,241.16	1,286.45	1,360.18
Margin %	*40.96%*	*41.02%*	*41.44%*

$MM	2026E	2027E	2028E
Live and Historical Racing	***1,567***	***1,641***	***1,744***
% Growth	8.6%	4.7%	6.3%
Wagering Services and Solution	***545***	***566***	***588***
% Growth	3.5%	3.9%	3.9%
Gaming	***1,060***	***1,070***	***1,081***
% Growth	1.0%	1.0%	1.0%
Total Revenue	***3,069***	***3,165***	***3,291***
% Growth	4.9%	3.1%	4.0%
EBITDA	**1,271**	**1,311**	**1,360**

Top Institutional Holders

Company	Position Size	% Share of Total	Last Report
BlackRock	6,202,982	8.9%	12/31/2025
Vanguard	6,036,416	8.7%	12/31/2025
Capital International	3,099,437	4.5%	12/31/2025
The London Company	2,620,723	3.8%	12/31/2025
State Street	1,956,295	2.8%	12/31/2025
Fidelity Investments	1,719,097	2.5%	12/31/2025

(1) Bloomberg

Top Insider Holders

Insider	Position Size	% Share of Total	Last Report
CDI Holdings/Duchossois Family	3,240,000	4.65%	12/18/2023
William Carstanjen CEO	1,685,609	2.42%	02/05/2026
Daniel Harrington Board Member	1,269,181	1.82%	01/06/2026
William Mudd COO	732,067	1.05%	02/05/2026
Marcia Dall CFO	153,843	.22%	02/05/2026
Alex Rankin Chairman	99,211	.14%	01/06/2026

(1) Bloomberg

Recent Insider Transactions



CHDN US Equity | 25) Export | Settings | Security Ownership

CHURCHILL DOWNS INC CUSIP 17148410

1) Current | 2) Historical | 3) Matrix | 4) Ownership Summary | 5) Insider Transactions | 6) Options | 7) Issuer Debt

Transaction Type: All Range: 03/27/25 - 03/27/26 10) Chart 11) Table

Shareholders: All

Trade Date ↓	No. Part	Participants	Net Sell (Shares)	Net Buy (Shares)	Close Price	Volume
02/05/2026	4	Blackwell Bradley, Dall Marcia, Mudd William, Carstanjen William		12,532	93.69	618,508
01/06/2026	6	Carter Andrea, Lloyd Karole, Rankin R, Varga Paul, Harrington Daniel, Grissom Douglas		909.58	113.27	618,942
12/31/2025	6	Blackwell Bradley, Mudd William, Carstanjen William, Adams Maureen, Dall Marcia, Grissom Douglas		21,141.12	113.78	411,179
12/26/2025	1	Mudd William	-5,730		114.51	425,357
12/22/2025	1	Dall Marcia	-12,800		114.61	669,967
10/30/2025	2	Mudd William, Carstanjen William		135,579	100.40	741,503
09/30/2025	1	Grissom Douglas		354.34	97.01	639,398
06/30/2025	1	Grissom Douglas		340.35	101.00	633,622
05/07/2025	1	Grissom Douglas		10,000	92.49	1.07MLN
05/05/2025	1	Rankin R		2,000	90.71	1.2MLN
05/02/2025	1	Varga Paul		2,000	93.23	803,083
04/24/2025	6	Carter Andrea, Lloyd Karole, Rankin R, Varga Paul, Harrington Daniel, Grissom Douglas		13,978.86	87.99	4.2MLN
03/31/2025	1	Grissom Douglas		309.49	111.07	1.06MLN

Selected Trade Dates (1) Clear Selections

	Trade Date	Participants	Relation	Transaction Type	Form	10b5-1	Shares	Trade Price	Reported MV	Document
12)	02/05/2026	Dall Marcia	Officer	Grant, Award acquisition	Form 4		12,207		--	
13)	02/05/2026	Carstanjen William	Officer	Grant, Award acquisition	Form 4		37,727		--	
14)	02/05/2026	Blackwell Bradley	Officer	Grant, Award acquisition	Form 4		6,104		--	
15)	02/05/2026	Mudd William	Officer	Grant, Award acquisition	Form 4		16,648		--	
16)	02/05/2026	Carstanjen William	Officer	Disposition to the issuer	Form 4		-37,727	93.69	-3,534,643	
17)	02/05/2026	Mudd William	Officer	Disposition to the issuer	Form 4		-16,648	93.69	-1,559,751	
18)	02/05/2026	Dall Marcia	Officer	Payment of exercise price by delivery	Form 4		-3,944	93.69	-369,513	
19)	02/05/2026	Blackwell Bradley	Officer	Payment of exercise price by delivery	Form 4		-1,835	93.69	-171,921	

*Form 144 is a "Notice of Proposed Sale of Securities" filed with the SEC by company insiders

Management Track Record and Gaming Properties

Property[1]	Initial Year of Investment	Cumulative Investment ($ millions)[2]	Projected Unlevered IRR
Derby City Gaming (HRM)	2018	$154	> 65%
Newport Racing & Gaming (HRM)	2020	$36	> 30%
Oak Grove (HRM)	2020	$196	> 30%
Turfway Park (HRM)	2022	$179	Mid-teens
Homestretch Club at CDRT	2022	$37	> 30%
First Turn at CDRT	2023	$87	> 20%
Paddock at CDRT	2024	$178	> 20%

1. Properties with greater than 2 years of actual performance included using an unlevered DCF analysis.
2. Investment represents capital spend and acquisition costs.

State	Property	Acres	Slots[1] & Video Poker / VLTs[1]	Tables[1]	Racetrack	Hotel Rooms	Retail Sportsbook
FL	Calder Casino	54	1,070	6	-	-	-
IA	Hard Rock Iowa	15	680	16	-	54	✓
IN	Terre Haute Casino Resort	48	1,040	38	-	122	✓
LA	Fair Grounds Race Course and Slots & Video Services[2]	145	1,540	-	✓	-	✓
ME	Oxford Casino & Hotel	97	955	22	-	107	✓
MD	Ocean Downs Casino & Racetrack	167	900	19	✓	-	✓
MS	Harlow's Casino Resort & Spa	85[3]	660	13	-	105	✓
MS	Riverwalk Casino Hotel	22	560	11	-	76	✓
NY	del Lago Resort & Casino	83	1,665	80	-	205	✓
PA	Presque Isle Downs & Casino	270	1,525	31	✓	-	✓

1. Units as of December 31, 2025.
2. Fair Grounds operates 13 OTBs across southeast Louisiana as of December 31, 2025.
3. Leased land.

Source: Investor Presentation

Disciplined Acquisitions

$ in millions Asset	Initial Year of Investment	Purchase Price	Implied Multiple[1]
Rivers Casino Des Plaines	2019	$407	< 5x
P2E[2] & Exacta	2022 & 2023	$3,000	7-8x

1. Based on purchase price and 2025 Adjusted EBITDA.
2. Acquisition of Virginia HRMs and Iowa and New York casinos. Excludes the investment in and Adjusted EBITDA from Emporia, The Rose, Richmond expansion, and Henrico County.

Strategic Seller of Assets

$ in millions Asset	Year of Sale	Sale Price	After-Tax Gain on Sale
Big Fish Games	2018	$990	$168
Calder Land Sales	2016 & 2022	$318	$298
Arlington Property Sale	2023	$197	$86

Comparable Viewership	2025 Date	Network	Avg. Viewers[2]
151st Kentucky Derby	***May 3rd***	***NBC***	***17.7***
NBA Finals, Game 7	June 22nd	ABC	16.4
Masters Final Round	Apr 13th	CBS	12.7
Indy 500	May 25th	Fox	7.1
Daytona 500	Feb 16th	Fox	6.8
F1 Miami Grand Prix	May 4th	ABC	2.2

1. Includes viewership on NBC and Peacock streaming
2. Viewership in millions

Regional Gaming Properties Analysis - Kentucky

Property	Location	Opened	Floor (sq ft)	HRMs	Hotel Room	MSA Pop (M)	Adults ~30mi	Median HHI	Nearest Casino	Notes / Status
KENTUCKY (8 venues, ~5,355 HRMs)										
Derby City Gaming & Hotel	Louisville, KY	Sep 2018	55,000	1,270	123	~1.4M	~800K+	$67,000	Caesars Southern IN (~15 min)	Flagship. Mid-$400s W/U/D current. C3 Gaming: $283 vs Caesars $287 in 2019. Still growing 8-9% at year 7. $228M total investment.
DCG Downtown	Louisville, KY	Dec 2023	43,000	450	0	~1.4M	~800K+	$67,000	Same as DCG	Urban/nightlife venue. $90M investment. Targets tourists, convention attendees.
Turfway Park Racing & Gaming	Florence, KY	Sep 2022	45,000	810	0	~2.3M	~1.2M+	$73,000	Hollywood Lawrenceburg (~30 min)	Northern KY, ~15 mi from Cincinnati. Live racing. Benefits from OH metro demand.
Newport Racing & Gaming	Newport, KY	Oct 2020	23,000	460	0	~2.3M	~1.2M+	$73,000	Same as Turfway	Within 3 miles of Cincinnati (10-K). Smaller convenience venue complementing Turfway.
Oak Grove Racing, Gaming & Hotel	Oak Grove, KY	2020	55,000	1,240	151	~2.0M (Nash)	~300K local	$55K local / $72K Nash	None in TN	~1 hr north of Nashville. Fort Campbell base nearby. TN has zero casino gaming. 2nd largest KY venue.
Owensboro Racing & Gaming	Owensboro, KY	Feb 2025	30,000	600	0	~120K	~150K	$52,000	Tropicana Evansville (~45 min)	Opened on time and below budget. ~$40-45M investment. First full year FY2026.
Marshall Yards Racing & Gaming	Calvert City, KY	Feb 2026	9,000	225	0	~100K	~100K	$48,000	Harrah's Metropolis IL (~45 min)	CDI's 8th and smallest KY venue. ~$15-20M est. First full year FY2027.
Ellis Park Racing & Gaming	Henderson, KY	Acq Sep 2022	40,000	300	0	~360K	~250K	$55,000	Tropicana Evansville (across river)	Legacy racetrack. 5 mi from Evansville IN. Live racing. More direct casino competition.
Kentucky Subtotal			**300,000**	**5,355**	**274**					

Sources: FY2025 10-K property table, earnings call transcripts, Census Bureau MSA data

Regional Gaming Properties Analysis – Virginia + New Hampshire

VIRGINIA (9 venues, ~4,835 HRMs)										
The Rose Gaming Resort	Dumfries, VA	Nov 2024	58,000	1,610	102	~6.5M	~2.5-3.0M	$115,000	MGM National Harbor (~30 min)	$460M. 1,800 HRMs operating (10-K: 1,610 + Dumfries consolidated). $295 W/U/D at M16. Market 4x larger than other CDI properties. 8 F&B outlets, 2,540 parking.
Rosie's Richmond	Richmond, VA	Jun 2019	55,000	1,200	0	~1.3M	~800K	$76,000	None nearby	Expanded 2025 (+450 HRMs). 2nd largest VA venue. Acquired via P2E Nov 2022.
Colonial Downs / Rosie's New Kent	New Kent, VA	Jun 2019	21,000	490	0	~1.3M	~500K	$70,000	None nearby	THE LICENSE. Only thoroughbred racing license in VA. Widest turf track in N. America. 30-40 race days/yr. Virginia Derby created as KY Derby qualifier.
Roseshire Gaming Parlor	Henrico Co, VA	Sep 2025	7,000	175	0	~1.3M	~800K	$76,000	None nearby	Subscale convenience venue. Opened ahead of schedule, below budget. "Off to a fantastic start."
Rosie's Hampton	Hampton, VA	Oct 2019	38,000	700	0	~1.8M	~1.0M	$70,000	None nearby	Hampton Roads/VA Beach area. Dall noted "increased competition" impacting unrated play. Rated play growing.
Rosie's Emporia	Emporia, VA	Sep 2023	22,000	150	0	Rural	~20K	$40,000	None	I-95 corridor between Richmond and NC border. Smallest VA venue by market size.
Rosie's Collinsville	Collinsville, VA	Jul 2021	2,000	40	0	~60K	~50K	$42,000	None	Essentially an OTB with minimal HRMs. 2,000 sq ft. Rounds to zero.
Rosie's Vinton	Vinton, VA	May 2019	33,000	470	0	~315K	~250K	$58,000	None nearby	Roanoke metro. Dall noted competition impact on Southern/Western VA.
Virginia Subtotal			**236,000**	**4,835**	**102**					
NEW HAMPSHIRE										
Casino Salem (Temporary)	Salem, NH	Aug 2025	4,000	100	0	~4.9M	~800K (20mi)	$85,000	Encore Boston Harbor	Temporary facility. 100 HRMs + 13 table games. Exit 2 on I-93. 100K vehicles/day. Building customer database for Rockingham Grand.
Rockingham Grand (Construction)	Salem, NH	Mid-2027	160,000	825	0	~4.9M	~800K (20mi)	$85,000	Encore Boston Harbor	$180-200M. 900 HRMs + 32 table games + 12 ETG seats + 900-seat entertainment. CDI's first full-spectrum casino with live dealers.
Chasers (License Reserved)	Salem, NH	Acq 2022	0	0	0					Charitable gaming (poker/tables). HRM license retained for future 2nd NH venue. optionality.

Sources: FY2025 10-K property table, earnings call transcripts, Census Bureau MSA data

Reported Adj. EBITDA Bridge

EBITDA Bridge ($MM)	2021	2022	2023	2024	2025
Net income attributable to Churchill Downs	249.1	439.4	417.3	426.8	383.0
Net income attributable to noncontrolling interests	-	-	-	2.3	2.5
Net income	**249.1**	**439.4**	**417.3**	**429.1**	**385.5**
Interest expense	84.7	147.3	268.4	289.8	297.7
Depreciation and amortization	103.2	113.7	157.0	199.1	233.1
Provision for income taxes	94.5	169.4	144.5	144.1	146.9
Stock-based compensation	27.8	29.1	33.5	36.1	30.2
Asset impairments, net	15.3	-	3.9	3.9	47.5
Pre-opening expense	9.5	7.0	23.2	29.6	11.7
Transaction expense (benefit), net	7.9	(179.3)	(36.7)	(12.1)	5.1
Equity investment interest & D&A add-back	28.5	32.1	36.5	42.0	38.6
Other charges, recoveries & expenses, net	6.5	4.9	(23.7)	(2.4)	9.0
Adjusted EBITDA	**627.0**	**763.6**	**1,023.9**	**1,159.2**	**1,205.3**
Net revenue	1,597.2	1,809.8	2,461.7	2,734.3	2,925.9
Margin %	*39.3%*	*42.2%*	*41.6%*	*42.4%*	*41.2%*

Source: Company Filings